

Part A

Chapter 1: Multinational Financial Management: Opportunities and challenges

1. International Trade Phase vs multinational phase of globalization

- **Global transition I:** the Domestic phase to the International trade phase
- **Global transition II:** the International trade phase to the Multinational phase

The Limits to Financial Globalization: the growth in the **influence and self-enrichment of organizational insiders**

EXHIBIT 1.6

The Limits of Financial Globalization

There is a growing debate over whether many of the insiders and rulers of organizations with enterprises globally are taking actions consistent with creating firm value or consistent with increasing their own personal stakes and power.



If these influential insiders are building personal wealth over that of the firm, it will indeed result in preventing the flow of capital across borders, currencies, and institutions to create a more open and integrated global financial community.

1) The phase of the globalization process characterized by imports from foreign suppliers and exports to foreign buyers is called the:

- A) domestic phase. B) multinational phase. **C) international trade phase.** D) import-export banking phase.

2) The authors describe the multinational phase of globalization for a firm as one characterized by the:

- A) ownership of assets and enterprises in foreign countries.**
B) potential for international competitors or suppliers even though all accounts are with domestic firms and are denominated in dollars.
C) imports from foreign suppliers and exports to foreign buyers.
D) requirement that all employees be multilingual.

3) A firm in the International Trade Phase of Globalization:

- A) makes all foreign payments in foreign currency units and all foreign receipts in domestic currency units.
B) receives all foreign receipts in foreign currency units and makes all foreign payments in domestic currency units.
C) bears direct foreign exchange risk.
D) none of the above

4) Of the following, which was NOT mentioned by the authors as an increase in the demands of financial management services due to increased globalization by the firm?

- A) evaluation of the credit quality of foreign buyers and sellers
B) foreign consumer method of payment preferences
C) credit risk management
D) evaluation of foreign exchange risk

5) The twin agency problems limiting financial globalization are caused by these two groups acting in their own self-interests rather than the interests of the firm.

- A) rulers of sovereign states and unsavory customs officials
B) corporate insiders and attorneys
C) corporate insiders and rulers of sovereign states

D) attorneys and unsavory customs officials

2. The J-curve of trade balance adjustment process – 3 stages (Chap 3)

- 1. Currency contract period:** a sudden unexpected devaluation of the domestic currency has a somewhat uncertain impact, simply because all of the contracts for exports and imports are already in effect.
- 2. Pass-through period:** As exchange rates change, importers and exporters eventually must pass these exchange rate changes through to their own product prices.
- 3. Quantity adjustment period:** achieves the balance of trade adjustment that is expected from a domestic currency devaluation or depreciation.

Note: Trade balance

- Imports are expensive → Decrease demand
- Exports are cheaper → Increase demand

1) Of the following, which is NOT a part of J-Curve adjustment path?

- A) the currency contract period
- B) the exchange rate pass-through period
- C) the quantity adjustment period

D) Each of the above is part of the J-Curve adjustment path.

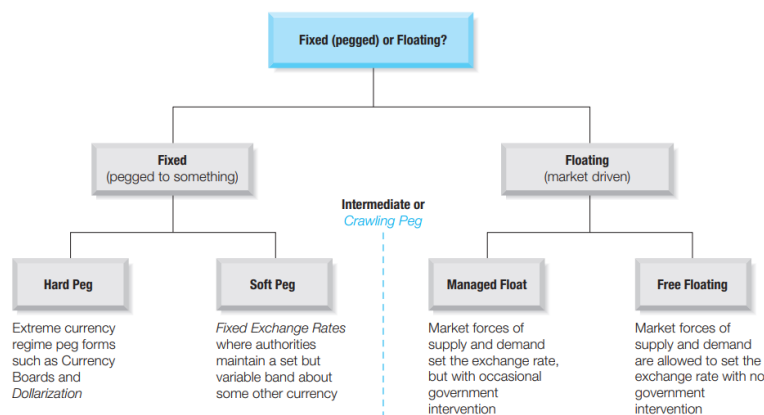
2) Which of the following is NOT likely to occur in the quantity adjustment phase of the J-Curve adjustment path?

- A) Imports become relatively more expensive.
- B) Exports become relatively less expensive.
- C) The balance of trade gets worse.

D) All of the above are true.

Chapter 2: The international monetary system

1. IMF Classification of currency regimes: free-floating, managed floating, Fixed E.R?



1) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, a country that has given up their own sovereignty over monetary policy is considered to have:

- A) a residual agreement.
- B) hard pegs.**
- C) soft pegs.
- D) floating arrangements.

2) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, countries with "fixed exchange rates" are considered to have:

- A) a residual agreement.
- B) soft pegs.**
- C) hard pegs.
- D) floating arrangements.

3) A small economy country whose GDP is heavily dependent on trade with the United States could use a(n) _____ exchange rate regime to minimize the risk to their economy that could arise due to unfavorable changes in the exchange rate.

☒ A) pegged exchange rate with the United States

B) pegged exchange rate with the Euro

C) independent floating

D) managed float

4) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, currencies that are predominantly market-driven are considered to be:

A) soft pegs.

B) hard pegs.

☒ C) floating arrangements.

D) a residual agreement.

5) Among IMF member countries since 2010 the dominating exchange rate regime has been:

A) hard peg.

☒ B) soft peg.

C) floating arrangements.

D) residual agreement.

2. Fixed versus flexible exchange rates

- Fixed rates provide **stability** in international prices for the conduct of trade. **Stable prices** aid in the growth of international trade and lessen risks for all businesses.

- Fixed exchange rates are **inherently anti-inflationary**, requiring the country to follow **restrictive monetary and fiscal policies**. This restrictiveness, however, can often be a burden to a country wishing to pursue policies to alleviate internal economic problems such as **high unemployment or slow economic growth**.

1) Based on the premise that, other things equal, countries would prefer a fixed exchange rate, which of the following statements is NOT true?

A) Fixed rates provide stability in international prices for the conduct of trade.

B) Fixed exchange rate regimes necessitate that central banks maintain large quantities of international reserves for use in the occasional defense of the fixed rate.

☒ C) Fixed rates are inherently inflationary in that they require the country to follow loose monetary and fiscal policies.

D) Stable prices aid in the growth of international trade and lessen exchange rate risks for businesses.

2) Which of the following is NOT an attribute of the "ideal" currency?

A) monetary independence

B) full financial integration

C) exchange rate stability

☒ D) All are attributes of an ideal currency.

3) The authors discuss the concept of the "Impossible Trinity" or the inability to achieve simultaneously the goals of exchange rate stability, full financial integration, and monetary independence. If a country chooses to have a pure float exchange rate regime, which two of the three goals is a country most able to achieve?

A) monetary independence and exchange rate stability

B) exchange rate stability and full financial integration

☒ C) full financial integration and monetary independence

D) A country cannot attain any of the exchange rate goals with a pure float exchange rate regime.

4) China today is a clear example of a nation that has chosen the following policies EXCEPT:

A) control and manage the value of its currency

B) conduct an independent monetary policy

☒ C) full financial integration in an attempt to stimulate its domestic economy

D) restrict the flow of capital into and out of the country

5) According to the terminology associated with changes in currency values, which of the following choices is the case when a currency's value relative to other currencies is changed by a government?

A) depreciation and revaluation

B) devaluation and appreciation

C) devaluation and revaluation

D) depreciation and appreciation

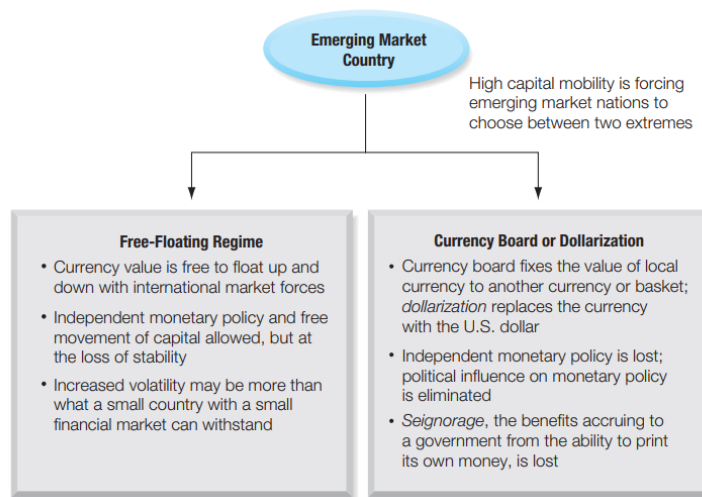
3. Impossible Trinity

1. **Exchange rate stability.** A Managed or Pegged Exchange Rate

2. **Full financial integration.** Free Flow of Capital

3. **Monetary independence.** An Independent Monetary Policy

4. Dollarization, currency board, advantages vs Disadvantages



1) Beginning in 1991 Argentina conducted its monetary policy through a currency board. In January 2002, Argentina abandoned the currency board and allowed its currency to float against other currencies. The country took this step because:

A) the Argentine Peso had grown too strong against major trading powers thus the currency board policies were hurting the domestic economy.

B) the United States required the action as a prerequisite to finalizing a free trade zone with all of North, South, and Central America.

C) the Argentine government lost the ability to maintain the pegged relationship as in fact investors and traders perceived a lack of equality between the Argentine Peso and the U.S. dollar.

D) all of the above

2) In January 2002, the Argentine Peso changed in value from $\text{Peso}1.00/\$$ to $\text{Peso}1.40/\$$, thus, the Argentine Peso _____ against the U.S. dollar.

A) strengthened

B) weakened

C) remained neutral

D) all of the above

3) In January 2000 Ecuador officially replaced its national currency, the Ecuadorian sucre, with the U.S. dollar. This practice is known as:

A) bi-currencyism.

B) securitization

C) a Yankee bailout.

D) dollarization.

4) You have been hired as a consultant to the central bank for a country that has for many years suffered from repeated currency crises and depends heavily on the U.S. financial and product markets. Which of the following policies would have the greatest effectiveness for reducing currency volatility of the client country with the United States?

A) dollarization

B) an exchange rate pegged to the U.S. dollar

C) an exchange rate with a fixed price per ounce of gold

D) an internationally floating exchange rate

5) Which of the following is NOT an argument against dollarization?

A) Dollarization causes a loss of sovereignty over domestic monetary policy.

B) Dollarization removes currency volatility against the dollar.

- C) Dollarization causes the country to lose the power of seignorage.
- D) The central bank of the dollarized country loses the role of lender of last resort.
- 6) The ability of a country to profit from its ability to print money is known as:
- A) profiteering. B) dollarization. **C) seignorage.** D) inflation.
- 7) Which of the following factors make it difficult for emerging market economies to choose a specific currency regime?
- A) weak fiscal, financial, and monetary institutions
- B) the tendency for commerce to allow currency substitution and the denomination of liabilities in dollars
- C) the emerging market's vulnerability to sudden stoppages of outside capital flows
- D) all of the above**

Chapter 5: The foreign exchange market everything

1. Participants in the foreign exchange markets

One of the biggest changes in the foreign exchange market in the past decade has been its shift from **a two-tier market** (the interbank or wholesale market, and the client or retail market) to a **single-tier market**.

Two major groups:

- **Liquidity seekers:** those trading currency for commercial purposes
- **Profit seekers:** those trade for profit

Five broad categories of institutional participants operate in the market:

(1) **Bank and nonbank foreign exchange dealers:** Bank and nonbank traders and dealers profit from buying foreign exchange at a *bid* price and reselling it at a slightly higher *ask* (also called an *offer*) price.

(2) **Individuals and firms conducting commercial or investment transactions:** Importers and exporters, international portfolio investors, multinational corporations, tourists, and others use the foreign exchange market to facilitate execution of commercial or investment transactions.

(3) **Speculators and arbitragers:**

- True **profit seekers**, they operate in their own interest, without a need or obligation to serve clients or to ensure a continuous market.
- **Dealers** seek profit from the spread between bids and offers in addition to what they might gain from changes in exchange rates, speculators seek all of their profit from exchange rate changes.
- **Arbitragers** try to profit from simultaneous exchange rate differences in different markets.

(4) **Central banks and treasuries:** use the market to acquire or spend their country's foreign exchange reserves as well as to influence the price at which their own currency is traded, a practice known as *foreign exchange intervention*.

(5) **Foreign exchange brokers:** are agents who facilitate trading between dealers without themselves becoming principals in the transaction.

1) While trading in foreign exchange takes place worldwide, the major currency trading centers are located in:

A) London, New York, and Tokyo.

B) New York, Zurich, and Bahrain.

C) Paris, Frankfurt, and London. ✗

~~D) Los Angeles, New York, and London.~~

2) The authors identify two tiers of foreign exchange markets:

A) bank and nonbank foreign exchange.

B) commercial and investment transactions.

☒ C) interbank and client markets.

D) client and retail market.

☒ 3) It is characteristic of foreign exchange dealers to:

A) bring buyers and sellers of currencies together but never to buy and hold an inventory of currency for resale. ✓

☒ B) act as market makers, willing to buy and sell the currencies in which they specialize. ✓

C) trade only with clients in the retail market and never operate in the wholesale market for foreign exchange. ✓

☒ D) All of the above are characteristics of foreign exchange dealers.

4) Which of the following may be participants in the foreign exchange markets?

A) bank and nonbank foreign exchange dealers

B) central banks and treasuries

C) speculators and arbitrageurs

☒ D) all of the above

5) _____ seek to profit from trading in the market itself rather than having the foreign exchange transaction being incidental to the execution of a commercial or investment transaction.

☒ A) Speculators and arbitrageurs

B) Foreign exchange brokers

C) Central banks

D) Treasuries

6) In the foreign exchange market, _____ seek all of their profit from exchange rate changes while _____ seek to profit from simultaneous exchange rate differences in different markets.

A) wholesalers; retailers

B) central banks; treasuries

☒ C) speculators; arbitrageurs

D) dealers; brokers

7) Foreign exchange dealers earn a profit by a bid-ask spread on currencies they purchase and sell. Foreign exchange brokers, on the other hand, earn a profit by bringing together buyers and sellers of foreign currencies and earning a commission on each sale and purchase.

A) central banks; treasuries

☒ B) dealers; brokers

C) brokers; dealers

D) speculators; arbitrageurs

☒ 8) _____ are agents who facilitate trading between dealers without themselves becoming principals in the transaction.

☒ A) Central banks

☒ B) Foreign exchange brokers

C) Arbitrageurs

D) Foreign exchange dealers

2. Cross rates, market equilibrium, arbitrage opportunity

12) Given the following exchange rates, which of the multiple-choice choices represents a potentially profitable intermarket arbitrage opportunity?

¥129.87/\$

€1.1226/\$

€0.00864/¥

A) ¥115.69/€

☒ B) ¥114.96/€

C) \$0.8908/€

D) \$0.0077/¥

13) The U.S. dollar suddenly changes in value against the euro moving from an exchange rate of 0.8909/€ to \$0.8709/€. Thus, the dollar has _____ by _____.

☒ A) appreciated; 2.30%

B) depreciated; 2.30%

C) appreciated; 2.24%

D) depreciated; 2.24%

14) A German firm is attempting to determine the euro/pound exchange rate and has the following exchange rate information: USD/pound = \$1.5509/£ and the USD/euro rate = \$1.2194/€. Therefore, the euro/pound rate must be:

A) £1.2719/€.

☒ B) €1.2719/£.

C) €0.7316/£.

D) €0.7863/£.

3. Direct and indirect quotes

- A **direct quote** is the price of a foreign currency in domestic currency units.
- An **indirect quote** is the price of the domestic currency in foreign currency units.

1) A foreign exchange rate is the price of one currency expressed in terms of another currency. A foreign exchange quote is a willingness to buy or sell at the announced rate.

A) quote; rate

B) quote; quote

☒ C) rate; quote

D) rate; rate

2) Most foreign exchange transactions are through the U.S. dollar. If the transaction is expressed as the foreign currency per dollar this known as _____ whereas _____ are expressed as dollars per foreign unit.

A) European terms; indirect

B) American terms; direct

C) American terms; European terms

☒ D) European terms; American terms

3) The following is an example of an American term foreign exchange quote:

☒ A) \$20/£

B) €0.85/\$

C) ¥100/€

D) none of the above

4) From the viewpoint of a British investor, which of the following would be a direct quote in the foreign exchange market?

A) SF2.40/£

B) \$1.50/£

☒ C) £0.55/€

D) \$0.90/€

5) A/an indirect quote in the United States would be foreign units per dollar, while a/an direct quote would be in dollars per foreign currency unit.

A) direct; direct

B) direct; indirect

C) indirect; indirect

☒ D) indirect; direct

6) If the direct quote for a U.S. investor for British pounds is \$1.43/£, then the indirect quote for the U.S. investor would be _____ and the direct quote for the British investor would be _____.

☒ A) £0.699/\$; £0.699/\$

B) \$0.699/£; £0.699/\$

C) £1.43/£; £0.699/\$

$$\text{¥}/\text{€} = \text{¥}/\text{\$} \times \text{\$}/\text{€} = 129.87 \times \frac{1}{1.1226} = \text{¥}115.69/\text{€}$$

$$\Delta\% = \frac{S_0 - S_1}{S_1} \times 100\% = 2.30\%$$

$$\text{€}/\text{£} = \text{€}/\text{\$} \times \text{\$}/\text{£} = 1.2719$$

→ direct quote (minh → ban)

→ minh → ban

£0.699/\$

D) £0.699/\$; \$1.43/£

4. Bid; Ask prices

- A *bid* is the price (i.e., exchange rate) in one currency at which a dealer will buy another currency.
- An *ask* is the price (i.e., exchange rate) at which a dealer will sell the other currency.

7) Dealers make money on currency exchanges by the difference between the bid price, or the price they offer to pay, and the ask price, or the price at which they offer to sell the currency.

- A) Dealers; ask; bid B) Dealers; bid; ask
C) Brokers; ask; bid D) Brokers; bid; ask

5. Definition of Forward transaction and forward rates

- A **forward transaction** (or more formally, an *outright forward transaction*) requires delivery at a future value date of a specified amount of one currency for a specified amount of another currency.

1) _____ are NOT one of the three categories reported for foreign exchange.

A) Spot transactions ✓

B) Swap transactions ✓

C) Strip transactions ✗

D) Futures transactions ✓

2) A spot transaction in the foreign exchange market requires an almost immediate delivery (typically within two days) of foreign exchange.

A) spot

B) forward

C) futures

D) none of the above

3) A forward transaction in the foreign exchange market requires delivery of foreign exchange at some future date.

A) spot B) forward

C) swap D) currency

4) A forward contract to deliver British pounds for U.S. dollars could be described either as _____ or _____.

A) buying dollars forward; buying pounds forward

B) selling pounds forward; selling dollars forward

C) selling pounds forward; buying dollars forward

D) selling dollars forward; buying pounds forward

5) A common type of swap transaction in the foreign exchange market is the _____ where the dealer buys the currency in the spot market and sells the same amount back to the same bank in the forward market.

A) "forward against spot"

B) "forspot"

C) "repurchase agreement"

D) "spot against forward"

6) The NDF is a derivative forward contract that was created in the 1990s. It has the same characteristics and documentation requirements as traditional forward contracts except that they are only settled in U.S. dollars and the foreign currency involved in the transaction is not delivered.

A) nondeliverable forward

B) dollar only forward

C) virtual forward

D) internet forward

7) Which of the following is NOT true regarding nondeliverable forward (NDF) contracts?

A) NDFs are used primarily for emerging market currencies.

B) Pricing of NDFs reflects basic interest rate differentials plus an additional premium charged for dollar settlement.

C) NDFs can only be traded by central banks.

D) All of the above are true.

8) A swap transaction in the interbank market is the simultaneous purchase and sale of a given amount of foreign exchange for two different value dates.

A) spot

~~B) forward-forward~~

C) swap

D) futures

6. How to calculate percentage change E.R. How to calculate profits/losses from a movement of E.R?

A. To calculate the percentage change in value of the **unit currency** → Traditional way

$$\% \Delta = \frac{\text{Ending Rate} - \text{Beginning Rate}}{\text{Beginning Rate}} \times 100$$

B. To calculate the percentage change in value of the **price currency** → Non-traditional way

$$\% \Delta = \frac{\text{Beginning Rate} - \text{Ending Rate}}{\text{Ending Rate}} \times 100$$

7. How to read Forward quotes

	Bid	Ask
Outright spot	JPY118.27	JPY118.37
Plus points (3 months)	1.43	1.40
Outright forward	JPY116.84	JPY116.97

Euro: Spot and Forward (\$/€)					Japanese Yen: Spot and Forward (¥/\$)			
Term	Bid		Ask		Bid		Ask	
	Points	Rate	Points	Rate	Points	Rate	Points	Rate
Spot		1.0897		1.0901		118.27		118.37
Cash								
1 week	3	1.0900	4	1.0905	-10	118.17	-9	118.28
rates								
1 month	17	1.0914	19	1.0920	-51	117.76	-50	117.87
2 months	35	1.0932	36	1.0937	-95	117.32	-93	117.44
3 months	53	1.0950	54	1.0955	-143	116.84	-140	116.97
4 months	72	1.0969	76	1.0977	-195	116.32	-190	116.47
5 months	90	1.0987	95	1.0996	-240	115.87	-237	116.00
6 months	112	1.1009	113	1.1014	-288	115.39	-287	115.50
9 months	175	1.1072	177	1.1078	-435	113.92	-429	114.08
1 year	242	1.1139	245	1.1146	-584	112.43	-581	112.56
Swap								
2 years	481	1.1378	522	1.1423	-1150	106.77	-1129	107.08
rates								
3 years	750	1.1647	810	1.1711	-1748	100.79	-1698	101.39
4 years	960	1.1857	1039	1.1940	-2185	96.42	-2115	97.22
5 years	1129	1.2026	1276	1.2177	-2592	92.35	-2490	93.47

TABLE 5.1

Use the table to answer following question(s).

	Yen: Spot and Forward (¥/\$)			Pound: Spot and Forward (\$/£)		
	Mid Rates	Bid	Ask	Mid Rates	Bid	Ask
Spot	<u>129.87</u>	129.82	129.92	1.4484	1.4481	1.4487
Forward Rates						
1 month	129.68	-20	-18	1.4459	-26	-24
6 months	<u>128.53</u>	-136	-132	1.4327	-160	-154
Swaps						
2 year	117.65	1232	1212	1.4250	-238	-230
3 year	115.50	1452	1422	1.4225	-265	-253

8) Refer to Table 5.1. The current spot rate of dollars per pound as quoted in a newspaper is

A) £1.4484/\$; \$0.6904/£

B) \$1.4481/£; £0.6906/\$

\$ 1.4484 / £

↓ or ↑

£ 0.6904 / \$

☒ C) \$1.4484/£; £0.6904/\$

D) £1.4487/\$; \$0.6903/£

9) Refer to Table 5.1. The one-month forward bid price for dollars as denominated in Japanese yen is:

¥ 129.62/\$

A) -¥20.

B) -¥18.

C) ¥129.74/\$.

☒ D) ¥129.62/\$.

10) Refer to Table 5.1. The ask price for the two-year swap for a British pound is:

\$ 1.4257/£

A) \$1.4250/£.

☒ B) \$1.4257/£

C) -\$230.

D) -\$238.

8. How to calculate Forward premium/discounts

A. When foreign currency is the unit currency

$$f = \frac{\text{Forward} - \text{Spot}}{\text{Spot}} \times \frac{360}{\text{Days}} \times 100$$

B. When home currency is the unit currency

$$f = \frac{\text{Spot} - \text{Forward}}{\text{Forward}} \times \frac{360}{\text{Days}} \times 100$$

11) Refer to Table 5.1. According to the information provided in the table, the 6-month yen is selling at a forward _____ of approximately _____ per annum. (Use the mid rates to make your calculations.)

A) discount; 2.09%

B) discount; 2.06%

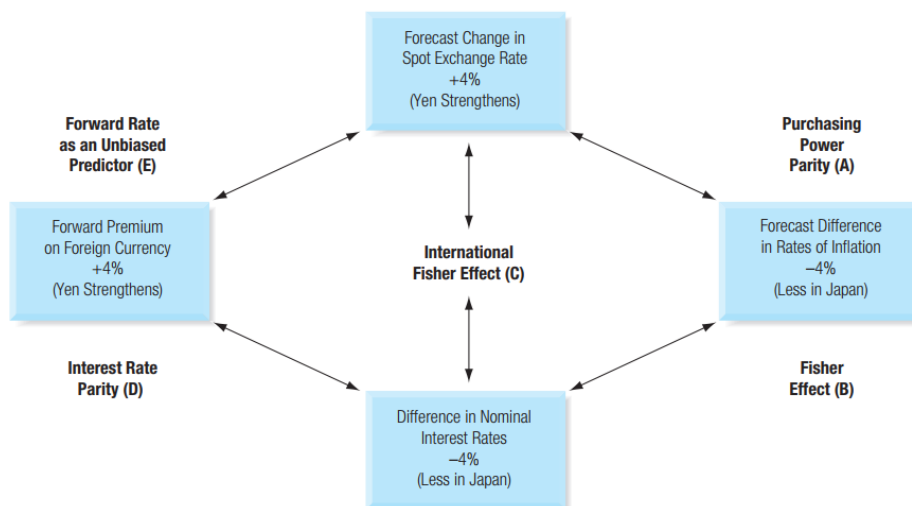
☒ C) premium; 2.09%

D) premium; 2.06%

$$\begin{aligned} f_{\text{6 month}} &= \frac{S_0^{\text{¥/\$}} - F^{\text{¥/\$}}}{F^{\text{¥/\$}}} \times 100\% \\ &= 1.04\% \rightarrow f_{\text{annum}} = 2.09\% \end{aligned}$$

Chapter 6: International Parity Condition

The four economic theories in international finance: RPPP, Fisher effects, International Fisher Effects, Interest rate Parity and content/things we discussed in class



Hiểu được ảnh này là hiểu Chap 6

6.1 Prices and Exchange Rates

1) If an identical product can be sold in two different markets, and no restrictions exist on the sale or transportation of product between markets, the product's price should be the same in both markets. This is known as:

A) relative purchasing power parity.

B) interest rate parity.

☒ C) the law of one price.

D) equilibrium.

2) The Economist publishes annually the "Big Mac Index" by which they compare the prices of the McDonald's Corporation's Big Mac hamburger around the world. The index estimates the exchange rates for currencies based on the assumption that the burgers in question are the same across the world and therefore, the price should be the same. If a Big Mac costs \$2.54 in the United States and 294 yen in Japan, what is the estimated exchange rate of yen per dollar as hypothesized by the Hamburger index?

- A) \$0.0086/¥ B) ¥124/\$ C) \$0.0081/¥ **D) ¥115.75/\$**

3) If the current exchange rate is 113 Japanese yen per U.S. dollar, the price of a Big Mac hamburger in the United States is \$3.41, and the price of a Big Mac hamburger in Japan is 280 yen, then other things equal, the Big Mac hamburger in Japan is:

- A) correctly priced.
B) under priced.
C) over priced.
D) There is not enough information to determine if the price is appropriate or not.

4) The price of a Big Mac in the U.S. is \$3.41 and the price in Mexico is Peso 29.0. What is the implied PPP of the Peso per dollar?

- A) Peso 8.50/\$1** B) Peso 10.8/\$1 C) Peso 11.76/\$1 D) None of the above

5) Assume the implied PPP rate of exchange of Mexican Pesos per U.S. dollar is 8.50 according to the Big Mac Index. Further, assume the current exchange rate is Peso 10.80/\$1. Thus, according to PPP and the Law of One Price, at the current exchange rate the peso is:

- A) overvalued.
B) undervalued.
C) correctly valued.
D) There is not enough information to answer this question.

6) According to the Big Mac Index, the implied PPP exchange rate is Mexican peso 8.50/\$1 but the actual exchange rate is peso 10.80/\$1. Thus, at current exchange rates the peso appears to be _____ by _____.

- A) overvalued; approximately 21%
B) overvalued; approximately 27%
C) undervalued; approximately 21%

D) undervalued; approximately 27%

7) Other things equal, and assuming efficient markets, if a Honda Accord costs \$24,682 in the U.S., then at an exchange rate of \$1.57/£, the Honda Accord should cost _____ in Great Britain.

- A) £24,682 B) £38,751 C) £10,795 **D) £15,721**

8) One year ago the spot rate of U.S. dollars for Canadian dollars was \$1/C\$1. Since that time the rate of inflation in the U.S. has been 4% greater than that in Canada. Based on the theory of Relative PPP, the current spot exchange rate of U.S. dollars for Canadian dollars should be approximately:

- A) \$0.96/C\$. B) \$1/C\$. **C) \$1.04/C\$.** D) Relative PPP provides no guide for this type of question.

9) _____ states that differential rates of inflation between two countries tend to be offset overtime by an equal but opposite change in the spot exchange rate.

- A) The Fisher Effect
B) The International Fisher Effect
C) Absolute Purchasing Power Parity

D) Relative Purchasing Power Parity

10) Two general conclusions can be made from the empirical tests of purchasing power parity (PPP):

- A) PPP holds up well over the short run but poorly for the long run, and the theory holds better for countries with relatively low rates of inflation.

B) PPP holds up well over the short run but poorly for the long run, and the theory holds better for countries with relatively high rates of inflation.

C) PPP holds up well over the long run but poorly for the short run, and the theory holds better for countries with relatively low rates of inflation.

D) PPP holds up well over the long run but poorly for the short run, and the theory holds better for countries with relatively high rates of inflation.

11) A country's currency that strengthened relative to another country's currency by more than that justified by the differential in inflation is said to be _____ in terms of PPP.

A) overvalued B) over compensating C) undervalued D) under compensating

12) If we set the real effective exchange rate index between Canada and the United States equal to 100 in 1998, and find that the U.S. dollar has risen to a value of 112.6, then from a competitive perspective the U.S. dollar is:

A) overvalued. B) undervalued. C) very competitive.

D) There is not enough information to answer this question.

13) If we set the real effective exchange rate index between the United Kingdom and the United States equal to 100 in 2005, and find that the U.S. dollar has changed to a value of 91.4, then from a competitive perspective the U.S. dollar is:

A) overvalued. B) undervalued. C) equally valued.

D) There is not enough information to answer this question.

14) The government just released international exchange rate statistics and reported that the real effective exchange rate index for the U.S. dollar vs the Japanese yen decreased from 105 last year to 95 currently and is expected to fall still further in the coming year. Other things equal U.S. _____ to/from Japan think this is good news and U.S. _____ to/from Japan think this is bad news.

A) importers; exporters

B) importers; importers

C) exporters; exporters

D) exporters; importers

15) Exchange rate pass-through may be defined as:

A) the bid/ask spread on currency exchange rate transactions.

B) the degree to which the prices of imported and exported goods change as a result of exchange rate changes.

C) the PPP of lesser-developed countries.

D) the practice by Great Britain of maintaining the relative strength of the currencies of the

Commonwealth countries under the current floating exchange rate regime

16) Phillips NV produces DVD players and exports them to the United States. Last year the exchange rate was \$1.25/euro and Phillips charged 120 euro per player in Euroland and \$150 per DVD player in the United States. Currently the spot exchange rate is \$1.45/euro and Phillips is charging \$160 per DVD player. What is the degree of pass through by Phillips NV on their DVD players?

A) 92% B) 33.3% C) 41.7% D) 4.1%

17) Jaguar has full manufacturing costs of their S-type sedan of £22,803. They sell the S-type in the UK with a 20% margin for a price of £27,363. Today these cars are available in the US for \$55,000 which is the UK price multiplied by the current exchange rate of \$2.01/£. Jaguar has committed to keeping the US price at \$55,000 for the next six months. If the UK pound appreciates against the USD to an exchange rate of \$2.15/£, and Jaguar has not hedged against currency changes, what is the amount the company will receive in pounds at the new exchange rate?

A) £22,803 B) £25,581 C) £27,363 D) £55,000

18) Jaguar has full manufacturing costs of their S-type sedan of £22,803. They sell the S-type in the UK with a 20% margin for a price of £27,363. Today these cars are available in the US for \$55,000 which is the UK price multiplied by the current exchange rate of \$2.01/£. Jaguar has committed to keeping the US price at \$55,000 for the next six months. If the UK pound appreciates against the USD

to an exchange rate of \$2.15/£, and Jaguar has not hedged against currency changes, what is the percentage margin the company will realize given the new exchange rate?

- A) 20.0% B) 15.3% **C) 12.2%** D) 7.2%

19) The price elasticity of demand for DVD players manufactured by Sony of Japan is greater than one. If the Japanese yen appreciates against the U.S. dollar by 10% and the price of the Sony DVD players in the U.S also rises by 10%, then other things equal, the total dollar sales revenues of Sony DVDs would:

- A) decline.** B) increase. C) stay the same. D) insufficient information

6.2 Interest Rates and Exchange Rates

1) _____ states that nominal interest rates in each country are equal to the required real rate of return plus compensation for expected inflation.

- A) Absolute PPP B) Relative PPP C) The Law of One Price **D) The Fisher Effect**

2) In its approximate form the Fisher effect may be written as _____. Where: i = the nominal rate of interest, r = the real rate of return and π = the expected rate of inflation.

- A) $i = (r)(\pi)$
B) $i = r + \pi + (r)(\pi)$

C) $i = r + \pi$

D) $i = r + 2\pi$

3) Assume a nominal interest rate on one-year U.S. Treasury Bills of 2.60% and a real rate of interest of 1.00%. Using the Fisher Effect Equation, what is the approximate expected rate of inflation in the U.S. over the next year?

- A) 2.10% B) 2.05% **C) 1.60%** D) 1.00%

4) Assume a nominal interest rate on one-year U.S. Treasury Bills of 3.80% and a real rate of interest of 2.00%. Using the Fisher Effect Equation, what is the exact expected rate of inflation in the U.S. over the next year?

- A) 1.84% B) 1.80% **C) 1.76%** D) 1.72%

5) The relationship between the percentage change in the spot exchange rate over time and the differential between comparable interest rates in different national capital markets is known as:

- A) absolute PPP.
B) the law of one price.
C) relative PPP.

D) the international Fisher Effect.

6) According to the international Fisher Effect, if an investor purchases a five-year U.S. bond that has an annual interest rate of 5% rather than a comparable British bond that has an annual interest rate of 6%, then the investor must be expecting the _____ to _____ at a rate of at least 1% per year over the next 5 years.

- A) British pound; appreciate
B) British pound; revalue
C) U.S. dollar; appreciate
D) U.S. dollar; depreciate

7) _____ states that the spot exchange rate should change in an equal amount but in the opposite direction to the difference in interest rates between two countries.

- A) Fisher-open** B) Fisher-closed C) The Fisher Effect D) none of the above

8) A _____ is an exchange rate quoted today for settlement at some time in the future.

- A) spot rate **B) forward rate** C) currency rate D) yield curve

9) Assume the current U.S. dollar-British spot rate is 0.6993£/\$. If the current nominal one-year interest rate in the U.S. is 5% and the comparable rate in Britain is 6%, what is the approximate forward exchange rate for 360 days?

- A) £1.42/\$ B) £1.43/\$ C) £0.6993/\$ **D) £0.7060/\$**

10) Assume the current U.S. dollar-yen spot rate is 90 ¥/\$. Further, the current nominal 180-day rate of return in Japan is 1% and 2% in the United States. What is the approximate forward exchange rate for 180 days?

- A) ¥89.12/\$ B) ¥89.55/\$ C) ¥90.89/\$ **D) ¥90.45/\$**

11) The current U.S. dollar-yen spot rate is 125¥/\$. If the 90-day forward exchange rate is 127 ¥/\$ then the yen is selling at a per annum _____ of _____.

- A) premium; 1.57% B) premium; 6.30% C) discount; 1.57% **D) discount; 6.30%**

12) The forward rate is calculated from all the following observable data items EXCEPT:

A) the forecast of the future spot exchange rate

B) the home currency deposit rate

C) the foreign currency deposit rate

D) the spot exchange rate

13) The theory of _____ states that the difference in the national interest rates for securities of similar risk and maturity should be equal to but opposite in sign to the forward rate discount or premium for the foreign currency, except for transaction costs.

A) international Fisher Effect

B) absolute PPP

C) interest rate parity

D) the law of one price

14) With covered interest arbitrage:

A) the market must be out of equilibrium.

B) a "riskless" arbitrage opportunity exists.

C) the arbitrageur trades in both the spot and future currency exchange markets.

D) all of the above

15) Arbitragers applying Covered Interest Arbitrage drive the international currency and money markets toward the equilibrium described by:

A) the effective exchange rate index.

B) the purchasing power parity.

C) the nominal effective exchange rate index.

D) the interest rate parity.

16) Covered interest arbitrage moves the market _____ equilibrium because _____.

A) toward; purchasing a currency on the spot market and selling in the forward market narrows the differential between the two

B) toward; investors are now more willing to invest in risky securities

C) away from; purchasing a currency on the spot market and selling in the forward market increases the differential between the two

D) away from; demand for the stronger currency forces up interest rates on the weaker security

6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

1) If the forward rate is an unbiased predictor of the expected spot rate, which of the following is NOT true?

A) The expected value of the future spot rate at time 2 equals the present forward rate for time 2 delivery, available now.

B) The distribution of possible actual spot rates in the future is centered on the forward rate.

C) The future spot rate will actually be equal to what the forward rate predicts.

D) All of the above are true.

2) Which of the following is NOT an assumption of market efficiency?

A) Instruments denominated in other currencies are perfect substitutes for one another.

B) Transaction costs are low or nonexistent.

C) All relevant information is quickly reflected in both spot and forward exchange markets.

D) All of the above are true.

3) Empirical tests have yielded _____ evidence about market efficiency with a general consensus that developing foreign markets are _____.

A) conflicting; not efficient

B) conflicting; efficient

C) consistent; inefficient

D) none of the above

4) If exchange markets were not efficient, it would pay for a firm to spend resources on forecasting exchange rates.

5) If the forward exchange rate is an unbiased predictor of future spot rates, then future spot rates will always be equal to current forward rates.

6) If exchange markets were efficient, the deviation of the actual future quote and today's forward rate will be zero.

6.4 Prices, Interest Rates, and Exchange Rates in Equilibrium

1) According to the International Fisher Effect, the forecast change in the spot rate between two countries is equal to:

A) the current spot rate multiplied by the ratio of the inflation rates in the respective countries.

B) but the opposite sign to the difference between nominal interest rates.

C) but the opposite sign to the difference between inflation rates.

D) but the opposite sign to the difference between real interest rates.

Chapter 7: Foreign currency derivatives. Everything

1. Currency futures market: Definition of a foreign currency future contract

A **foreign currency futures contract** is an alternative to a forward contract that calls for future delivery of a standard amount of foreign exchange at a fixed time, place, and price.

1) Financial derivatives are powerful tools that can be used by management for purposes of:

A) speculation. ✓

B) hedging. ✓

C) human resource management.

D) A and B above

2) A foreign currency futures contract calls for the future delivery of a standard amount of foreign exchange at a fixed time, place, and price.

A) futures

B) forward

C) option

D) swap

3) Which of the following is NOT a contract specification for currency futures trading on an organized exchange?

A) size of the contract ✓

- B) maturity date ✓
 C) last trading day ✓
☒ D) All of the above are specified.

4) About _____ of all futures contracts are settled by physical delivery of foreign exchange between buyer and seller.

- A) 0% ☒ B) 5% C) 50% D) 95%

5) Futures contracts require that the purchaser deposit an initial sum as collateral. This deposit is called a:

- A) collateralized deposit.
 B) marked market sum.
☒ C) margin.
 D) settlement.

2. Differences between a currency futures contract and a forward contract?

Futures Contract	Forward Contract
- Are standardized - For speculation - Trading on Organized exchanges - Require an initial margin - Marked-to-market on a daily basis - Rarely settled	- Are customized - For hedging - Trading on OTC - No margin - Only the bank's relationship is needed (based on trust) - Normally settled

3. How to Sell/Buy a currency futures contract to make profit

8) Peter Simpson thinks that the U.K. pound will cost \$1.43/£ in six months. A 6-month currency futures contract is available today at a rate of \$1.44/£. If Peter was to speculate in the currency futures market, and his expectations are correct, which of the following strategies would earn him a profit?

- ☒ A) Sell a pound currency futures contract.
 B) Buy a pound currency futures contract.
 C) Sell pounds today.
 D) Sell pounds in six months.

$$S_T = \$1.43/\text{£} \quad \rightarrow \text{Short}$$

$$K = \$1.44/\text{£}$$

9) Jack Hemmings bought a 3-month British pound futures contract for \$1.4400/£ only to see the dollar appreciate to a value of \$1.4250 at which time he sold the pound futures. If each pound futures contract is for an amount of £62,500, how much money did Jack gain or lose from his speculation with pound futures?

- ☒ A) \$937.50 loss
 B) \$937.50 gain
 C) £937.50 loss
 D) £937.50 gain

$$K = \$1.4400/\text{£}$$

$$S_T = \$1.4250/\text{£}$$

$$J_{\text{Long}} = (S_T - K) \times N = \$ -937.50$$

10) Which of the following statements regarding currency futures contracts and forward contracts is NOT true?

- A) A futures contract is a standardized amount per currency whereas the forward contract is for any size desired. ✓
 B) A futures contract is for a fixed maturity whereas the forward contract is for any maturity you like up to one year. ✓
 C) Futures contracts trade on organized exchanges whereas forwards take place between individuals and banks with other banks via telecom linkages. ✓
☒ D) All of the above are true.

11) Which of the following is NOT a difference between a currency futures contract and a forward contract?

- A) The futures contract is marked to market daily, whereas the forward contract is only due to be settled at maturity. ✓

B) The counterparty to the futures participant is unknown with the clearinghouse stepping into each transaction, whereas the forward contract participants are in direct contact setting the forward specifications. ✓

C) A single sales commission covers both the purchase and sale of a futures contract, whereas there is no specific sales commission with a forward contract because banks earn a profit through the bid-ask spread. ✓

☒ D) All of the above are true.

12) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. Jasper should _____ at _____ to profit from changing currency values.

☒ A) buy yen; the forward rate

B) buy dollars; the forward rate

C) sell yen; the forward rate ← scribet

D) There is not enough information to answer this question.

13) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper buys \$100,000 worth of yen at today's spot price and sells within the next six months at ¥128/\$, he will earn a profit of:

A) \$146.09.

B) \$101,460.94.

☒ C) \$1460.94.

D) nothing; he will lose money

$$V_0^{\text{¥}} = V_0^{\text{\$}} \times S_0^{\text{¥/\$}} = \text{¥ } 12,987,000$$

$$V_1^{\text{\$}} = \frac{V_0^{\text{¥}}}{S_1^{\text{¥/\$}}} = \$ 101,460.94$$

$$\Rightarrow f = V_1^{\text{\$}} - V_0^{\text{\$}} = \$ 1,460.94$$

14) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper buys \$100,000 worth of yen at today's spot price her potential gain is _____ and her potential loss is _____

~~\$100,000~~

unlimited

A) \$100,000; unlimited

B) unlimited; unlimited

C) \$100,000; \$100,000

☒ D) unlimited; \$100,000

15) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper's expectations are correct, then he could profit in the forward market by _____ and then _____.

A) buying yen for ¥128.00/\$; selling yen at ¥128.53/\$

☒ B) buying yen for ¥128.53/\$; selling yen at ¥128.00/\$

C) There is not enough information to answer this question.

D) He could not profit in the forward market.

4. Speculating in Currency futures market: meaning of long/short position

Short Positions: SELL

- Value at maturity (Short position) = -Notional principal * (Spot - Futures)

Long Positions: BUY

- Value at maturity (Long position) = Notional principal * (Spot - Futures)

6) A speculator in the futures market wishing to lock in a price at which they could buy a foreign currency will buy a futures contract.

A) buy; sell

B) sell; buy

☒ C) buy; buy

D) none of the above

7) A speculator that has sold a futures contract has taken a short position.

A) sold; long

B) purchased; short

☒ C) sold; short

D) purchased; sold

5. Definition of foreign currency option: call, buy, put, sell

A **foreign currency option** is a contract that gives the option purchaser (the buyer) the right, but not the obligation, to buy or sell a given amount of foreign exchange at a fixed price per unit for a specified time period (until the maturity date).

- A call is an option to buy foreign currency, and a put is an option to sell foreign currency.
- The buyer of an option is termed the *holder*, while the seller of an option is referred to as the *writer* or *grantor*.

1) A foreign currency option gives the purchaser the right, not the obligation, to buy a given amount of foreign exchange at a fixed price per unit for a specified period.

A) future

B) forward

☒ C) option

D) swap

2) A foreign currency call option gives the holder the right to buy a foreign currency, whereas a foreign currency put option gives the holder the right to sell an option.

☒ A) call, buy, put, sell

B) call, sell, put, buy

C) put, hold, call, release

D) none of the above

3) The price at which an option can be exercised is called the:

A) premium.

B) spot rate.

☒ C) strike price.

D) commission.

4) An European option can be exercised only on its expiration date, whereas a/an American option can be exercised anytime between the date of writing up to and including the exercise date.

A) American; European

B) American; British

C) Asian; American

☒ D) European; American

5) A/an European option can be exercised only on its expiration date, whereas a/an American option can be exercised anytime between the date of writing up to and including the exercise date.

A) American; European

B) American; British

C) Asian; American

☒ D) European; American

6. In-the-money, at-the-money, out-of-the-money

- An option whose exercise price is the same as the spot price of the underlying currency is said to be **at-the-money** (ATM).
- An option that would be profitable, excluding the cost of the premium, if exercised immediately is said to be **in-the-money** (ITM).
- An option that would not be profitable, again excluding the cost of the premium, if exercised immediately is referred to as **out-of-the-money** (OTM).

6) A call option whose exercise price exceeds the spot price is said to be:

$$K > S_0$$

A) in-the-money.

B) at-the-money.

☒ C) out-of-the-money.

D) over-the-spot.

7) A call option whose exercise price is less than the spot price is said to be:

$$K < S_0$$

☒ A) in-the-money.

B) at-the-money.

C) out-of-the-money

D) under-the-spot.

8) An option whose exercise price is equal to the spot rate is said to be:

$$K = S_0$$

A) in-the-money.

☒ B) at-the-money.

C) out-of-the-money.

D) on-the-spot.

7. Break even rate

For Call option = Strike + Premium

For Put option = Strike - Premium

8. Quotation of currency option: What was the closing price, strike, option premium, contract size...? For a particular maturity day

TABLE 7.1

Use the table to answer following question(s).

April 19, 2009, British Pound Option Prices (cents per pound, 62,500 pound contracts).

Option & Underlying	Strike Price	Calls-Last			Puts-Last		
		May	June	July	May	June	July
1448	1440	0.88	1.42	1.42	0.52	1.06	-
1448	1450	0.42	1.02	-	-	-	-
1448	1460	0.20	0.68	0.72	-	2.32	-

11) Refer to Table 7.1. What was the closing price of the British pound on April 18, 2009?

☒ A) \$1.448/£

B) £1.448/\$

C) \$14.48/£

D) none of the above

1448 cents per pound $\rightarrow$ \$1.448/£

12) Refer to Table 7.1. The exercise price of 1440 giving the purchaser the right to sell pounds in June has a cost per pound of 1.06 for a total price of \$662.50

A) 1460; 0.68 cents; \$425.00

☒ B) 1440; 1.06 cents; \$662.50

C) 1450; 1.02 cents; \$637.50

D) 1440; 1.42 cents; \$887.50

$$V_{\text{short}} = \$ \frac{1.06}{100} | \text{£} \times \text{£}62,500 = \$662.50$$

13) Refer to Table 7.1. The May call option on pounds with a strike price of 1440 mean:

A) \$88/£ per contract.

B) \$0.88/£.

☒ C) \$0.0088/£.

D) none of the above

0.88 cents / £ $\rightarrow$ \$0.0088/£

14) Dash Brevenshure works for the currency trading unit of ING Bank in London. He speculates that in the coming months the dollar will rise sharply vs. the pound. What should Dash do to act on his speculation?

A) Buy a call on the pound.

B) Sell a call on the pound.

☒ C) Buy a put on the pound.

D) Sell a put on the pound.

\$↑

£↓ $\Rightarrow$ buy a put on pound

15) A put option on yen is written with a strike price of ¥105.00/\$. Which spot price maximizes your profit if you choose to exercise the option before maturity?

A) ¥100/\$

B) ¥105/\$

C) ¥110/\$

☒ D) ¥115/\$

16) A call option on euros is written with a strike price of \$1.30/euro. Which spot price maximizes your profit if you choose to exercise the option before maturity?

A) \$1.20/euro

B) \$1.25/euro

C) \$1.30/euro

☒ D) \$1.35/euro

17) A call option on UK pounds has a strike price of \$2.05/£ and a cost of \$0.02. What is the break-even price for the option? S_T

- A) \$2.03/£ **B) \$2.07/£** C) \$2.05/£ D) The answer depends upon if this is a long or a short call option.

18) Your U.S firm has an accounts payable denominated in UK pounds due in 6 months. To protect yourself against unexpected changes in the dollar/pound exchange rate you should:

A) buy a pound put option.

B) sell a pound put option.

C) buy a pound call option.

D) sell a pound call option.

↓
 $\pounds \downarrow \Rightarrow$ hedge by buying a call

19) The maximum gain for the purchaser of a call option contract is _____ while the maximum loss is _____.

A) unlimited; the premium paid.

B) the premium paid; unlimited.

C) unlimited; unlimited.

D) unlimited; the value of the underlying asset.

unlimited

premium paid

20) The buyer of a long call option:

A) has a maximum loss equal to the premium paid. ✓

B) has a gain equal to but opposite in sign to the writer of the option. ✓

C) has an unlimited maximum gain potential. ✓

D) all of the above

Trick 21) Which of the following is NOT true for the writer of a call option?

A) The maximum loss is unlimited. ✓

B) The maximum gain is unlimited. x premium paid

C) The gain or loss is equal to but of the opposite sign of the buyer of a call option. ✓

D) All of the above are true.

$$f = \begin{cases} c & \text{when } S_T < K \\ c - f_{\text{long}} & \text{when } S_T > K \end{cases}$$

Trick 22) Which of the following is NOT true for the writer of a put option?

A) The maximum loss is limited to the strike price of the underlying asset less the premium. ✓

B) The gain or loss is equal to but of the opposite sign of the buyer of a put option. ✓

C) The maximum gain is the amount of the premium. ✓

D) All of the above are true

23) The buyer (long) of a put option:

A) has a maximum loss equal to the premium paid. ✓

B) has a gain equal to but opposite in sign to the writer of the option. ✓

C) has maximum gain potential limited to the difference between the strike price and the premium paid. ✓

D) all of the above

24) The value of a European style call option is the sum of two components:

A) the present value plus the intrinsic value.

B) the time value plus the present value.

C) the intrinsic value plus the time value.

D) the intrinsic value plus the standard deviation.

$$\text{Total Value} = \text{Intrinsic Value} + \text{Time Value}$$

$$f_{\text{short}} = \begin{cases} (K - S_T) - c & \text{when } S_T < K \\ -c & \text{when } S_T > K \end{cases}$$

$$f = \begin{cases} c & \text{when } S_T > K \\ c - f_{\text{short}} & \text{when } S_T < K \end{cases}$$

9. How to calculate profit, intrinsic value from exercising a currency (Này hiểu thì khỏi cần công thức nha)

- Buyer of a call: Profit = Spot rate – (Strike price + Premium)
- Writer of a call: Profit = Premium - (Spot rate – Strike price)
- Buyer of a put: Profit = Strike price – (Spot rate + Premium)
- Writer of a put: Profit = Premium - (Strike price – Spot rate)
- Total Value (premium) = Intrinsic Value * Time Value

1) Which of the following is NOT a factor in determining the premium price of a currency option?

- A) the present spot rate ✓
- B) the time to maturity ✓
- C) the standard deviation of the daily spot price movement ✓
- ☒ D) All of the above are factors in determining the premium price.

2) The _____ of an option is the value if the option were to be exercised immediately. It is the option's _____ value.

- A) intrinsic value; maximum
- ☒ B) intrinsic value; minimum
- C) time value; maximum
- D) time value; minimum

3) Assume that a call option has an exercise price of \$1.50/£. At a spot price of \$1.45/£, the call option has:

- A) a time value of \$0.04.
- B) a time value of \$0.00.

$$K = \$1.50/\text{£} < S_0 = \$1.45/\text{£}$$

- ☒ C) an intrinsic value of \$0.00.
- D) an intrinsic value of -\$0.04.

⇒ Out-of-the-money ⇒ No intrinsic value

10. Factors of a currency call option premium/price

EXHIBIT 7.10 Summary of Option Premium Components

Greek	Definition	Interpretation
<i>Delta</i>	Expected change in the option premium for a small change in the spot rate	The higher the delta, the more likely the option will move in-the-money
<i>Theta</i>	Expected change in the option premium for a small change in time to expiration	Premiums are relatively insensitive until the final 30 or so days
<i>Lambda</i>	Expected change in the option premium for a small change in volatility	Premiums rise with increases in volatility
<i>Rho</i>	Expected change in the option premium for a small change in the domestic interest rate	Increases in domestic interest rates cause increasing call option premiums
<i>Phi</i>	Expected change in the option premium for a small change in the foreign interest rate	Increases in foreign interest rates cause decreasing call option premiums

1) If the spot rate changes from \$1.70/£ to \$1.71/£ and there is an option with an initial premium of \$0.033/£ and a delta of 0.5, then the new option premium would be:

- A) \$0.043/£.
- ☒ B) \$0.038/£.
- C) \$0.005/£.
- D) \$1.715/£.

2) As an option moves further in-the-money delta moves toward _____.

- A) 0
- B) -1
- ☒ C) 1
- D) large numbers

☒ 3) As an option moves further out-of-the-money, delta moves toward _____.

- A) 1
- ☒ B) 0
- ~~C) -1~~
- D) large negative numbers

4) Option premiums deteriorate at an/a _____ as they approach expiration.

- ☒ A) increasing rate
- B) proportional
- C) decreasing rate
- ~~D) less than proportional rate~~

5) Volatility is viewed the following ways EXCEPT:

A) historic.

☒ B) forward-looking.

C) implied.

☐ D) spot.

6) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a lambda of 0.4, after an increase in annual volatility of 1 percent point - for example from 10% to 11% - the new option premium would be:

A) \$0.036/£.

☒ B) \$0.037/£.

C) \$0.004/£.

D) \$1.54/£.

7) Traders who believe volatilities will fall significantly in the near-term will:

A) sell futures now.

☒ B) buy options now.

☐ C) sell options now.

D) buy futures now.

8) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a rho value of 0.2, after an increase in the U.S. dollar rate from 8% to 9% - the new ATM option premium would be:

A) \$0.037/£.

B) \$1.55/£.

C) \$0.036/£.

☒ D) \$0.035/£.

9) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a phi value of -0.2, after an increase in the foreign interest (the pound sterling rate) rate from 8% to 9% - the new option premium would be:

A) \$0.035/£.

B) \$1.48/£.

☒ C) \$0.031/£.

D) \$0.032/£.

10) The Delta of an option is defined as:

A) expected change in the option premium for a small change in time to expiration.

B) expected change in the option premium for a small change in volatility.

☒ C) expected change in the option premium for a small change in the spot rate.

D) expected change in the option premium for a small change in the domestic interest rate.

$$\Delta = \frac{dc}{dS_T}$$

11) The Theta of an option is defined as:

☒ A) expected change in the option premium for a small change in time to expiration.

B) expected change in the option premium for a small change in volatility.

C) expected change in the option premium for a small change in the spot rate.

D) expected change in the option premium for a small change in the domestic interest rate.

$$\theta = \frac{dc}{dT}$$

12) The Lambda of an option is defined as:

A) expected change in the option premium for a small change in time to expiration.

☒ B) expected change in the option premium for a small change in volatility.

C) expected change in the option premium for a small change in the spot rate.

D) expected change in the option premium for a small change in the domestic interest rate.

$$\lambda = \frac{dc}{d\sigma}$$

13) The Rho of an option is defined as:

A) expected change in the option premium for a small change in time to expiration.

B) expected change in the option premium for a small change in volatility.

C) expected change in the option premium for a small change in the foreign interest rate.

☒ D) expected change in the option premium for a small change in the domestic interest rate.

$$\rho = \frac{dc}{dr_d}$$

14) The Phi of an option is defined as:

A) expected change in the option premium for a small change in time to expiration.

B) expected change in the option premium for a small change in volatility.

☒ C) expected change in the option premium for a small change in the foreign interest rate.

$$\varphi = \frac{dc}{dr_f}$$

D) expected change in the option premium for a small change in the domestic interest rate.

15) Which of the following statements is **NOT** true about currency option pricing sensitivities?

A) The higher the delta, the more likely the option will move in-the-money ✓

B) Premiums rise with increases in volatility ✓

C) Premiums are relatively insensitive during the first days ✓

D) Increases in domestic interest rates cause decreasing call option premiums X

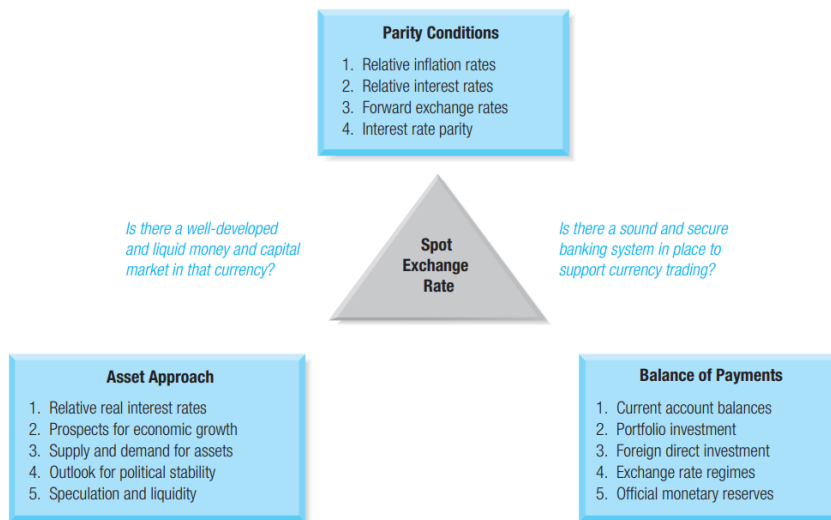
$C \uparrow \Leftrightarrow r_d \uparrow$

Chapter 9: Foreign exchange rate determination and forecasting

9.1 Exchange Rate Determination: The Theoretical Thread

EXHIBIT 9.1

The Determinants of Foreign Exchange Rates



1) An important thing to remember about foreign exchange rate determination is that parity conditions, asset approach, and balance of payments approaches are _____ theories rather than _____ theories.

A) competing; complementary

B) competing; contemporary

C) complementary; contiguous

D) complementary; competing

2) Which of the following did **NOT** contribute to the exchange rate collapse in emerging markets in the 1990s?

A) infrastructure weaknesses ✓

B) speculation on the part of market participants ✓

C) the sharp reduction of cross-border foreign direct investment ✓

D) All of the above contributed to the emerging markets exchange rate collapse of the 1990s. ✓

3) The _____ provides a means to account for international cash flows in a standardized and systematic manner.

A) parity conditions

B) asset approach

C) balance of payments

D) International Fisher Effect

4) The _____ approach argues that equilibrium exchange rates are achieved when the net inflow of foreign exchange arising from current account activities is equal to the net outflow of foreign exchange arising from financial account activities.

A) balance of payments

B) monetary

C) asset market

D) law of one price

5) The _____ approach states that the exchange rate is determined by the supply and demand for national currency stocks, as well as the expected future levels and rates of growth of monetary stock.

A) balance of payments

B) monetary

C) asset market

D) law of one price

6) The _____ approach argues that exchange rates are determined by the supply and demand for a wide variety of financial assets

A) balance of payments

B) monetary

C) asset market

D) law of one price

7) The _____ approach to the determination of spot exchange rates hypothesizes that the most important factors are the relative real interest rate and a country's outlook for economic growth and profitability.

A) balance of payments

B) parity conditions

C) managed float

D) asset market

8) The asset market approach to forecasting assumes that whether foreigners are willing to hold claims in monetary form depends on an extensive set of investment considerations. These include all but which of the following choices?

A) relative real interest rates ✓

B) capital market liquidity ✓

C) political safety ✓

D) All of the above are considered by investors in their decision process. ✓

9) _____ is defined as the spread of a crisis in one country to its neighboring countries and other countries with similar characteristics.

A) Speculation

B) Contagion

C) Capital market liquidity

D) Political science

10) Critics of the balance of payments approach to exchange rate determination point to the emphasis on _____ of currency and capital rather than _____ of money or financial assets.

A) flows; stocks

B) stocks; flows

C) import; export

D) export; import

11) Which of the following versions of PPP is thought to be the most relevant to possibly explaining what drives exchange rate values?

A) The Law of One Price

B) Absolute Purchasing Power Parity

C) Relative Purchasing Power Parity

D) The International Fisher Effect

12) It is safe to say that most determinants of the spot exchange rate are also affected by changes in the spot rate. i.e., they are linked AND mutually determined.

13) The balance of payments approach of exchange rate theory is largely dismissed by the academic community today, while the practitioner public still rely on different variations of the theory for their decision making.

14) Technical analysis of exchange rates developed in part due to the forecasting inadequacies of fundamental exchange rate theories.

15) The authors claim that theoretical and empirical studies appear to show that fundamentals do apply to the long-term for foreign exchange.

16) The authors claim that random events, institutional frictions, and technical factors may cause currency values to deviate significantly from their long-term fundamental path.

17) The asset market approach to forecasting is not applicable to emerging markets.

18) Most theories of technical analysis differentiate fair value from market value.

9.2 Currency Market Intervention

1) _____ is the active buying and selling of the domestic currency against foreign currencies.

A) Indirect Intervention

B) Direct Intervention

C) Foreign Direct Investment

D) Federal Funding

2) _____ is the alteration of economic or financial fundamentals that are thought to be drivers of capital to flow in and out of specific currencies.

A) Indirect Intervention

B) Direct Intervention

C) Foreign Direct Investment

D) Capital Controls

3) _____ is the restriction of access to foreign currency by government.

A) Indirect Intervention

B) Direct Intervention

C) Foreign Direct Investment

D) Capital Controls

4) Which of the following is **NOT** a technique used by governments or central banks to impact domestic currency valuation?

A) Indirect Intervention ✓

B) Direct Intervention ✓

C) Capital Controls ✓

D) All of the above are techniques used to control currency valuation. ✓

5) Which of the following is **NOT** a motivation for a government or central bank to manipulate domestic currency valuation?

A) fight inflation ✓

B) slow too rapid economic growth ✓

C) spur too slow economic growth ✓

D) All of the above are motivations for the government or central bank to manipulate currency values. ✓

6) If the goal were to decrease the value of a country's currency - to fight an appreciation of the domestic currency in exchange for foreign currency - the central bank would:

A) buy its own currency in exchange for foreign currency.

B) follow a restrictive monetary policy.

C) drive real rates of interest up.

D) sell its own currency in exchange for foreign currency.

7) If the goal were to increase the value of a country's currency - to fight an depreciation of the domestic currency in exchange for foreign currency - the central bank would:

A) buy its own currency in exchange for foreign currency.

B) follow a expansive monetary policy.

C) drive real rates of interest down.

D) sell its own currency in exchange for foreign currency.

9.3 Disequilibrium: Exchange Rates in Emerging Markets

1) Which of the following was NOT an international currency crisis in the 1990s and early 2000s?

A) the Asian Crisis

B) the Canadian Crisis

C) the Argentine Crisis

D) All of the above were currency crises in the 1990s and 2000s.

2) The Asian Currency crisis appeared to begin in:

A) South Korea.

B) Taiwan.

C) Thailand.

D) Japan.

3) The "tequila effect" is a slang term used to describe a form of financial panic called:

A) run on the market.

B) speculation.

C) contrary investing.

D) contagion.

4) Prior to July 2, 1997, the Thai government:

A) allowed the Thai Bhat to float against major currencies.

B) fixed the Bhat's value against the Korean won only.

C) fixed the Bhat's value against major currencies especially the U.S. dollar.

D) none of the above

5) The authors did NOT identify which of the following as a root of the Asian currency crisis?

A) the collapse of some Asian currencies

B) the rate of inflation in the United States

C) corporate socialism

D) banking stability and management

6) The authors refer to the practice of many Asian firms being largely controlled by families of groups related to the governing body of the country as:

A) illegal.

B) insider trading.

C) cronyism.

D) not in my back yard.

7) The principle focus of the IMF bailout efforts during the Asian financial crisis was:

A) banking liquidity.

B) shareholder's wealth.

C) reestablishing fixed currency exchange rates in Asia.

D) dollarization of Asian currencies.

8) The _____ is the Argentine currency unit.

- A) peso B) dollar C) real D) peseta

9) A currency board is:

A) a structure, rather than a mere commitment, to limiting the growth of the money supply in the economy.

B) a recipe for conservative and prudent financial management.

C) designed to eliminate the power of politicians to exercise judgment by relying on an automatic and unbendable rule.

D) all of the above

10) Argentina's economic performance in the 1990s while their peso was pegged to the U.S. dollar can be characterized as _____ rates of inflation and _____ rates of unemployment.

A) high; high

B) low; low

C) low; high

D) high; low

11) By 2001, crisis conditions had revealed three very important underlying problems Argentina's economy EXCEPT:

A) The Argentine peso was overvalued.

B) The currency board regime had eliminated monetary policy alternatives for macroeconomic policy.

C) The printing of paper money without restrictions, resulting in hyperinflation.

D) The Argentina government budget deficit was out of control - government spending continued to increased but tax receipts did not.

12) Which of the following did NOT contribute to the Russian currency crisis of 1998?

A) an accelerated flight of capital

B) generally deteriorating economic conditions

C) a surprisingly healthy government surplus that was neither funding internal investment nor external debt service

D) all of the above

Chapter 10: Transaction exposure

1. Definition of transaction exposure

Foreign exchange exposure is a measure of the potential for a firm's **profitability**, **net cash flow**, and **market value to change** because of a change in exchange rates.

To hedge against Unfavorable change in ER	Accounting exposure	Transaction exposure	Future CFs already contracted Existing financial obligation	Cash loss → Tax deduct: the year the loss is realized
		Translation exposure	Firm's market value	Not cash loss → No tax deduct
	Economic exposure	Operating exposure = economic exposure = competitive exposure = strategic exposure	Future CFs not yet contracted Firm's cash flow	Cash loss → Tax deduct: potentially for many years

1) _____ exposure deals with cash flows that result from existing contractual obligations.

- A) Operating **B) Transaction** C) Translation D) Economic

2) _____ exposure measures the change in the present value of the firm resulting from unexpected changes in exchange rates.

- ☒ A) Operating B) Transaction C) Translation D) Accounting

3) Each of the following is another name for operating exposure EXCEPT:

- A) economic exposure. ✓ B) strategic exposure. ✓
☒ C) accounting exposure. ✗ D) competitive exposure. ✓

4) Transaction exposure and operating exposure exist because of unexpected changes in future cash flows. The difference between the two is that transaction exposure deals with cash flows already contracted for, while operating exposure deals with future cash flows that might change because of changes in exchange rates.

- ☒ A) transaction; operating B) operating; transaction
C) operating; accounting D) none of the above

5) _____ exposure is the potential for accounting-derived changes in owner's equity to occur because of the need to translate foreign currency financial statements into a single reporting currency.

- A) Transaction B) Operating C) Economic ☒ D) Accounting (aka translation)

6) Losses from transaction exposure generally reduce taxable income in the year they are realized. operating exposure losses may reduce taxes over a series of years.

- A) accounting; Operating B) operating; Transaction ☒ C) transaction; Operating D) transaction; Accounting

7) Losses from transaction exposure generally reduce taxable income in the year they are realized. translation exposure losses are not cash losses and therefore, are not tax deductible.

- A) transaction; Operating B) accounting; Operating C) accounting; Transaction ☒ D) transaction; Translation

8) MNE cash flows may be sensitive to changes in which of the following?

- A) exchange rates B) interest rates C) commodity prices ☒ D) all of the above

9) Assuming no transaction costs (i.e., hedging is "free"), hedging currency exposures should decrease the variability of expected cash flows to a firm and at the same time, the expected value of the cash flows should not change.

- A) increase; not change ☒ B) decrease; not change
C) not change; increase D) not change; not change

10) Which of the following is NOT cited as a good reason for hedging currency exposures?

- A) Reduced risk of future cash flows is a good planning tool. ✓
B) Reduced risk of future cash flows reduces the probability that the firm may not meet required cash flows. ✓
☒ C) Currency risk management increases the expected cash flows to the firm ✗ CF not change
D) Management is in a better position to assess firm currency risk than individual investors ✓

11) Which of the following is cited as a good reason for NOT hedging currency exposures?

- A) Shareholders are more capable of diversifying risk than management. ✓
B) Currency risk management through hedging does not increase expected cash flows. ✓
C) Hedging activities are often of greater benefit to management than to shareholders. ✓
☒ D) All of the above are cited as reasons NOT to hedge.

12) The stages in the life of a transaction exposure can be broken into three distinct time periods. The first time period is the time between quoting a price and reaching an actual sale agreement or contract. The next time period is the time lag between taking an order and actually filling or delivering it. Finally, the time it takes to get paid after delivering the product. In order, these stages of transaction exposure may be identified as:

- A) backlog, quotation, and billing exposure.
B) billing, backlog, and quotation exposure.

C) quotation, backlog, and billing exposure.

D) quotation, billing, and backlog exposure.

13) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate.

The U.S. firm is at risk today of a loss if:

~~A) the exchange rate changes to \$1.52/£.~~

B) the exchange rate changes to \$1.58/£.

C) the exchange rate doesn't change.

D) all of the above

14) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate.

If the exchange rate changes to \$1.58/£ the U.S. firm will realize a gain of \$4,500.

A) loss; \$4,500

B) gain; \$4,500

C) loss; £4,500

D) gain; £4,500

15) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate.

If the exchange rate changes to \$1.52/£ the U.S. firm will realize a loss of -\$4,500.

A) loss; \$4,500

B) gain; \$4,500

C) loss; £4,500

D) gain; £4,500

16) _____ is NOT a commonly used contractual hedge against foreign exchange transaction exposure.

A) Forward market hedge ✓

B) Money market hedge ✓

C) Options market hedge ✓

D) All of the above are contractual hedges.

17) A _____ hedge refers to an offsetting operating cash flow such as a payable arising from the conduct of business.

A) financial

B) natural

~~C) contractual~~

D) futures

2. Hedging currency exposures? Advantages vs Disadvantages

Advantages:

- Reduction in risk in future cash flows improves the planning capability of the firm
- Reduction of risk in future cash flows reduces the likelihood that the firm's cash flows will fall below a necessary minimum (the point of financial distress)
- Management has a comparative advantage over the individual shareholder in knowing the actual currency risk of the firm
- Management is in better position to take advantage of disequilibrium conditions in the market

Disadvantages:

- Shareholders are much more capable of diversifying currency risk than the management of the firm
- Currency risk management does not increase the expected cash flows of the firm
- Management often conducts hedging activities that benefit management at the expense of the shareholders
- Managers cannot outguess the market
- Management's motivation to reduce variability is sometimes for accounting reasons.
- Hedging only adds costs from an efficient market perspective.

3. Four alternative approaches to hedge Transaction Exposure

- Foreign exchange transaction exposure can be managed by *contractual*, *operating*, and *financial hedges*.
- The main contractual hedges employ the **forward, money, futures, and options markets**.

- Operating and financial hedges employ the use of risk-sharing agreements, leads and lags in payment terms, swaps, and other strategies.

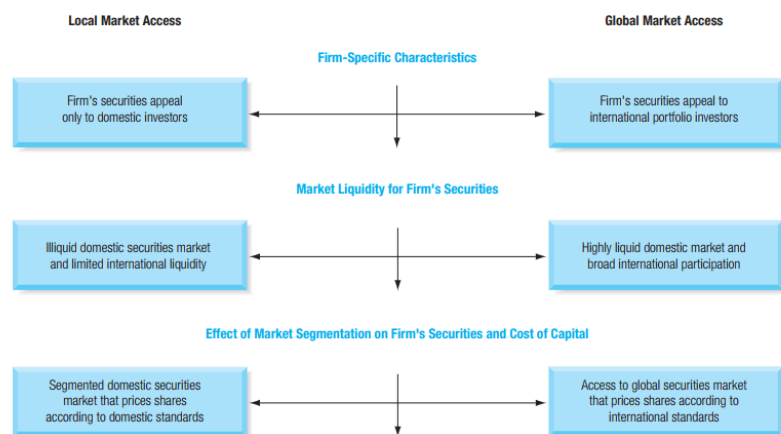
Four alternative approaches

- Remain unhedged
- Hedge in the forward market: involves a forward (or futures) contract and a source of funds to fulfill the contract.
- Hedge in the money market: the firm seeking the money market hedge borrows in one currency and exchanges the proceeds for another currency.
- Hedge in the options market: allows for participation in any upside potential associated with the position while limiting downside risk.

Chapter 13: Global cost of capital

1. Global cost and availability of capital

EXHIBIT 13.1 Dimensions of the Cost and Availability of Capital Strategy



1) If a firm lies within a country with _____ or _____ domestic capital markets, it can achieve lower global cost and greater availability of capital with a properly designed and implemented strategy to participate in international capital markets.

- A) liquid; segmented B) liquid; large C) illiquid; segmented D) large; illiquid

2) Other things equal, a firm that must obtain its long-term debt and equity in a highly illiquid domestic securities market will probably have a:

- A) relatively low cost of capital.

B) relatively high cost of capital.

- C) relatively average cost of capital.

- D) cost of capital that we cannot estimate from this question.

3) Relatively high costs of capital are more likely to occur in:

A) highly illiquid domestic securities markets.

- B) highly liquid domestic securities markets.

- C) unsegmented domestic securities markets.

- D) none of the above

4) Reasons that firms may find themselves with relatively high costs of capital include:

- A) The firms reside in emerging countries with undeveloped capital markets.

- B) The firms are too small to easily gain access to their own national securities market.

- C) The firms are family owned and they choose not to access public markets and lose control of the firm.

D) all of the above

5) Which of the following is NOT a contributing factor to the segmentation of capital markets?

- A) excessive regulatory control
- B) perceived political risk
- C) anticipated foreign exchange risk

D) All of the above are contributing factors.

6) Which of the following is NOT a contributing factor to the segmentation of capital markets?

- A) lack of transparency
 - B) asymmetric availability of information
 - C) insider trading
- D) All of the above are contributing factors.**

7) The weighted average cost of capital (WACC) is:

- A) the required rate of return for all of a firm's capital investment projects.

B) the required rate of return for a firm's average risk projects.

- C) not applicable for use by MNE.

- D) equal to 13%.

8) The capital asset pricing model (CAPM) is an approach:

A) to determine the price of equity capital.

- B) used by marketers to determine the price of saleable product.

- C) that can be applied only to domestic markets.

- D) none of the above

9) Which of the following is NOT a key variable in the equation for the capital asset pricing model?

- A) the risk-free rate of interest
- B) the expected rate of return on the market portfolio

C) the marginal tax rate

- D) All are important components of the CAPM.

$$\begin{aligned}k_e &= k_{rf} + \beta \times ERP \\ &= k_{rf} + \beta \times (k_{rm} - k_{rf})\end{aligned}$$

10) _____ risk is a function of the variability of expected returns of the firm's stock relative to the market index and the measure of correlation between the expected returns of the firm and the market.

- A) Systematic**
- B) Unsystematic
- C) Total
- D) Diversifiable

11) Systematic risk:

- A) is the standard deviation of a security's return.

B) is measured with beta.

- C) is measured with standard deviation.

- D) none of the above

12) Which of the following is generally unnecessary in measuring the cost of debt?

- A) a forecast of future interest rates
- B) the proportions of the various classes of debt a firm proposes to use
- C) the corporate income tax rate

D) All of the above are necessary for measuring the cost of debt.

$$K_d \times (1 - T)$$

13) The after-tax cost of debt is found by:

- A) dividing the before-tax cost of debt by (1 - the corporate tax rate).
- B) subtracting (1 - the corporate tax rate) from the before-tax cost of debt.

C) multiplying the before-tax cost of debt by (1 - the corporate tax rate).

D) subtracting the corporate tax rate from the before-tax cost of debt.

14) A firm whose equity has a beta of 1.0:

A) has greater systematic risk than the market portfolio.

B) stands little chance of surviving in the international financial market place.

C) has less systematic risk than the market portfolio.

D) None of the above is true.

15) The difference between the expected (or required) return for the market portfolio and the risk-free rate of return is referred to as:

A) beta.

B) the geometric mean.

C) the market risk premium.

D) the arithmetic mean.

16) If a company fails to accurately predict its cost of equity, then:

A) the firm's WACC will also be inaccurate.

B) the firm may not be using the proper interest rate to estimate NPV.

C) the firm may incorrectly accept or reject projects based on decisions made using the cost of capital computed with an incorrect cost of equity.

D) All of the above are true.

17) Which of the following statements is NOT true regarding beta?

A) Beta will have a value of less than 1.0 if the firm's returns are less volatile than the market. ✓

B) Beta will have a value of greater than 1.0 if the firm's returns are more volatile than the market. ✓

C) Beta will have a value of equal to 1.0 if the firm's returns are of equal volatility to the market. ✓

D) All of the statements above are true.

18) Which of the following will NOT affect a firm's beta?

A) the choice of the market portfolio against which to compare the variability of a firm's returns

B) the choice of the risk-free security

C) the choice of the time period used to calculate the firm's beta

D) None of the above, because each of them affects the calculation of a firm's beta.

19) Beta may be defined as:

A) the measure of systematic risk.

B) a risk measure of a portfolio.

C) the ratio of the variance of the portfolio to the variance of the market.

D) all of the above

20) _____ risk is measured with beta.

A) Systematic

B) Unsystematic

C) International

D) Domestic

21) A fully diversified domestic portfolio has a beta of:

A) 0.0.

B) 1.0.

C) -1.0.

D) There is not enough information to answer this question.

22) Unsystematic risk:

A) is the remaining risk in a well-diversified portfolio.

B) is measured with beta.

C) can be diversified away.

D) all of the above

2. Why MNE are in a better position than domestic firms to support higher debt ratios?

MNEs should be in a better position than their domestic counterparts to support higher debt ratios because **their cash flows are diversified internationally**.

But, MNEs faced higher agency costs, political risk, foreign exchange risk, and asymmetric information.

$$\beta_j = \frac{\rho_{jm} \times \sigma_j}{\sigma_m}$$

3. Weighted Average cost of capital: Calculate firm's WACC? Costs of equity, Cost of debt?

$$k_{WACC} = k_e \frac{E}{V} + k_d(1 - t) \frac{D}{V} \quad k_e = k_{rf} + \beta_j(k_m - k_{rf}) \quad \beta_j = \frac{\rho_{jm}\sigma_j}{\sigma_m}$$

MNEs have:

Higher W_e	Lower W_d
Higher k_e	Lower k_d

4. International Portfolio Theory and Diversification: International vs domestically diversified portfolio

- **Portfolio risk reduction:** international portfolio's market risk is **lower** than that of a domestic portfolio. Increasing the number of securities in the portfolio reduces the unsystematic risk component but leaves the systematic risk component unchanged.
- **Portfolio rate of return:**
- **Foreign exchange risk:** are reduced through international diversification

1) In general the geometric mean will be _____ the arithmetic mean for a series of returns.

GM < AM

A) less than B) greater than C) equal to D) greater than or equal to

2) The beginning share price for a security over a three-year period was \$50. Subsequent year-end prices were \$62, \$58 and \$64. The arithmetic average annual rate of return and the geometric average annual rate of return for this stock was:

A) 9.30% and 8.58% respectively.

B) 9.30% and 7.89% respectively.

C) 9.30% and 7.03% respectively.

D) 9.30% and 6.37% respectively

3) A well-diversified portfolio has about _____ of the risk of the typical individual stock.

A) 8% B) 19% C) 27% D) 52%

4) An internationally diversified portfolio:

A) should result in a portfolio with a lower beta than a purely domestic portfolio.

B) has the same overall risk shape as a purely domestic portfolio.

C) is only about 12% as risky as the typical individual stock.

D) all of the above

5) In some respects, internationally diversified portfolios are the same in principle as a domestic portfolio because:

A) the investor is attempting to combine assets that are perfectly correlated.

B) investors are trying to reduce systematic risk.

C) investors are trying to reduce the total risk of the portfolio.

D) all of the above

6) In some respects, internationally diversified portfolios are different from a domestic portfolio because:

A) investors may also acquire foreign exchange risk.

B) international portfolio diversification increases expected return but does not decrease risk.

C) investors must leave the country to acquire foreign securities.

D) all of the above

Instruction 13.1:

Use the information to answer the following question(s).

In September 2009 a U.S. investor chooses to invest \$500,000 in German equity securities at a then current spot rate of \$1.30/euro. At the end of one year the spot rate is \$1.35/euro.

7) Refer to Instruction 13.1. How many euros will the U.S. investor acquire with his initial \$500,000 investment?

- A) €650,000 B) €370,370 C) €500,000 **D) €384,615**

8) Refer to Instruction 13.1. At an average price of €60/share, how many shares of stock will the investor be able to purchase?

- A) 8333 shares **B) 6410 shares** C) 6173 shares D) 10,833 shares

9) Refer to Instruction 13.1. At the end of the year the investor sells his stock that now has an average price per share of €57. What is the investor's average rate of return before converting the stock back into dollars?

- A) 5.0% B) -3.0% **C) -5.0%** D) 3.0%

10) Refer to Instruction 13.1. At the end of the year the investor sells his stock that now has an average price per share of €57. What is the investor's average rate of return after converting the stock back into dollars?

- A) -1.35%** B) 5.0% C) -5.0% D) -7.24%

11) A U.S. investor makes an investment in Britain and earns 14% on the investment while the British pound appreciates against the U.S. dollar by 8%. What is the investor's total return?

- A) 22.00% **B) 23.12%** C) 6.00% D) 4.88%

$$(1 + 14\%) \times (1 + 8\%) = (1 + \text{Nominal rate})$$

$$\Rightarrow \text{Nominal rate} = 23.12\%$$

12) Which of the following statements is NOT true?

- A) International diversification benefits induce investors to demand foreign securities.
 B) An international security adds value to a portfolio if it reduces risk without reducing return.
 C) Investors will demand a security that adds value.

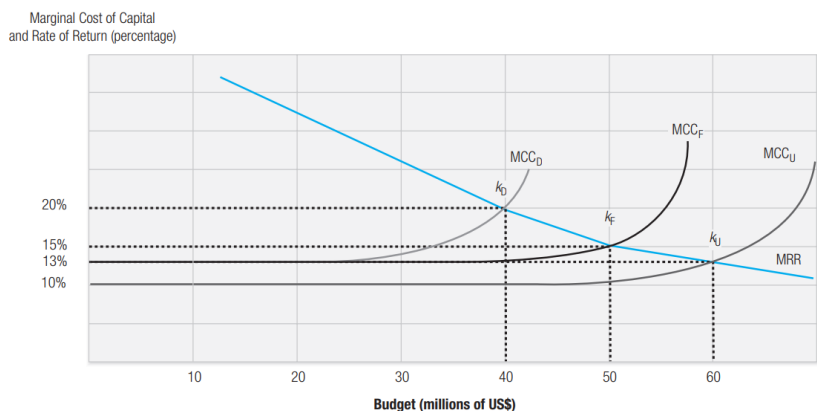
D) All of the above are true.

5. The effect of Market Liquidity and Segmentation

The degree to which capital markets are illiquid or segmented has an important influence on a firm's marginal cost of capital and thus on its weighted average cost of capital.

- If the firm is limited to raising funds in its domestic market, the line MCC_D shows the marginal domestic cost of capital.
- If the firm has additional sources of capital outside the domestic (illiquid) capital market, the marginal cost of capital shifts right to MCC_F .
- If the MNE is located in a capital market that is both illiquid and segmented, the line MCC_U represents the decreased marginal cost of capital if it gains access to other equity markets.

EXHIBIT 13.5 Market Liquidity, Segmentation, and the Marginal Cost of Capital



1) Theoretically, most MNEs should be in a position to support higher _____ than their domestic counterparts because their cash flows are diversified internationally.

- A) equity ratios **B) debt ratios** C) temperatures D) none of the above

2) According to your authors, diversifying cash flows internationally may help MNEs reduce the variability of cash flows because:

- A) of a lack of competition among international firms.
 B) of an offset to cash flow variability caused by exchange rate variability.
C) returns are not perfectly correlated between countries.

D) none of the above

3) Which of the following statements is NOT true regarding MNEs when compared to purely domestic firms?

A) MNEs tend to rely more on short and intermediate term debt.

B) MNEs have greater foreign exchange risk.

C) MNEs have greater costs of asymmetric information.

D) MNEs have higher agency costs.

4) Empirical research has found that systematic risk for MNEs is greater than that for their domestic counterparts. This could be due to:

A) the fact that the increase in the correlation of returns between the market and the firm is less than the increase in the standard deviation of returns of the firm.

B) the fact that the decrease in the correlation of returns between the market and the firm is greater than the increase in the standard deviation of returns of the firm.

C) the reduction in the correlation of returns between the firm and the market is less than the increase in the variability of returns caused by factors such as asymmetric information, foreign exchange risk, and the like.

D) None of the above; systematic risk is less for MNEs than for their domestic counterparts.

5) Empirical studies indicate that MNEs have higher costs of capital than purely domestic firms. This could be due to higher levels of:

A) political risk.

B) exchange rate risk.

C) agency costs.

D) all of the above

6) Despite the theoretical elegance of this hypothesis, empirical studies have come to the opposite conclusion. Despite the favorable effect of international diversification of cash flows, bankruptcy risk was only about the same for MNEs as for domestic firms. However, MNEs faced higher costs for each of the following EXCEPT:

A) agency costs.

B) political risk.

C) asymmetric information.

D) In fact, each of these costs were higher for the MNE than for the domestic firm.

7) Empirical studies indicate that WACC for an MNE is higher than for their domestic competitors. Reasons cited for this increased cost include all of the following EXCEPT:

A) agency costs.

B) foreign exchange risk.

C) political risk.

D) All of the above are cited as reasons for an MNE's increased WACC.

$$\beta_j = \frac{\rho_{jm} \times \sigma_j}{\sigma_m} \uparrow \Rightarrow \rho_{jm} \downarrow < \sigma_j \uparrow$$

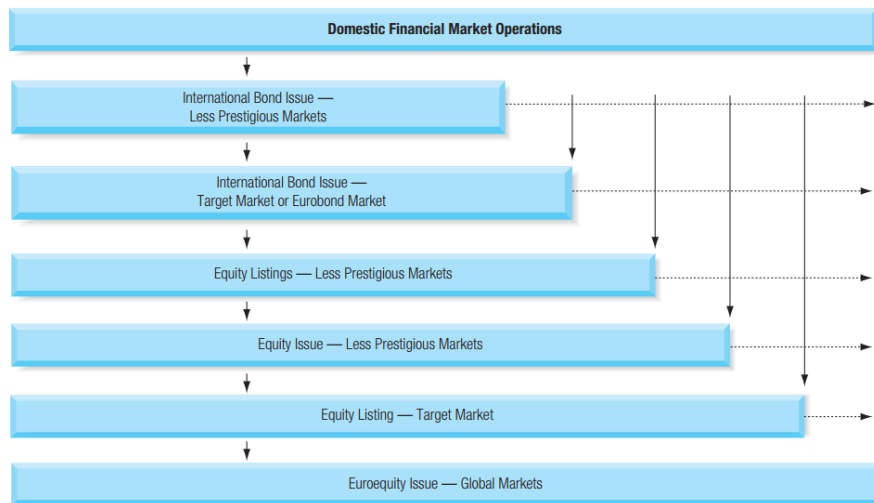
Chapter 14: Sourcing capital globally

1. Designing a strategy to source equity globally: How to implement the goal of gaining access to global capital markets; How to design a capital sourcing strategy, what are the requirements?

To implement the goal of gaining access to global capital markets a firm must **begin by designing a strategy that will ultimately attract international investors**. This would mean identifying and choosing alternative paths to access global markets.

This would also **require some restructuring of the firm, improving the quality and level of its disclosure**, and **making its accounting and reporting standards more transparent** to potential foreign investors.

Designing a capital sourcing strategy requires that management agree upon a **long-run financial objective** and then choose among the various alternative paths to get there. This decision-making process is aided by an early appointment of an investment bank as an official advisor.



1) The choice of when and how to source capital globally is usually aided early on by the advice of:

- A) an investment banker. B) your stock broker. C) a commercial banker. D) an underwriter.

2) Investment banking services include which of the following?

- A) advising when a security should be cross-listed
 B) preparation of stock prospectuses
 C) help to determine the price of the issue

D) all of the above

3) Which of the following is the typical order of sourcing capital abroad?

A) an international bond issue, then cross listing the outstanding issues on other exchanges, then an international bond issue in the target market

B) an international bond issue in the target market, then cross listing the outstanding issues on other exchanges, then an international bond issue

C) an international bond issue in less prestigious markets, then an international bond issue in the target market, and ultimately a eurobond issue

D) cross listing the outstanding issues on other exchanges, then an international bond issue, then an international bond issue in the target market

4) Which of the following is the typical first step sourcing capital abroad?

A) an international bond issue placed on a more prestigious foreign market

B) an international bond issue in the eurobond market

C) an international bond issue placed on a less prestigious foreign market

D) issue equity in one of the less prestigious markets to attract the attention of international investors first

5) By cross listing and selling its shares on a foreign stock exchange, a firm typically tries to accomplish which of the following?

- A) improve the liquidity of its existing shares
 B) increase its share price
 C) increase the firm's visibility

D) all of the above

2. Depositary receipts: ADRS

Depository receipts (DRs) are negotiable certificates issued by a bank to represent the underlying shares of stock that are held in trust at a foreign custodian bank.

Global depository receipts (GDRs) refer to certificates traded outside of the United States.

American depository receipts (ADRs) refer to certificates traded in the United States and denominated in U.S. dollars.

EXHIBIT 14.7 American Depositary Receipt (ADR) Programs by Level

Type	Description	Degree of Disclosure	Listing Alternatives	Ability to Raise Capital	Implementation Timetable
Level I	Over-the-Counter ADR Program	None: home country standards apply	Over-the-counter (OTC)	—	6 weeks
Level I GDR	Rule 144A/Reg. S GDR Program	None	Not listed	Yes, available only to QIBs	3 weeks
Level II	U.S.-Listed ADR Program	Detailed Sarbanes Oxley	U.S. stock exchange listings	—	13 weeks
Level II GDR	Rule 144A/Reg. S GDR Program	None	DIFX	None	2 weeks
Level III	U.S.-Listed ADR Program	Rigorous Sarbanes Oxley	U.S. stock exchange listings	Yes, public offering	14 weeks
Level III GDR	Rule 144A/Reg. S GDR Program	EU Prospectus Directive and/or U.S. Rule 144A	London, Luxembourg, U.S. Portal	Yes, available to QIBs	2 weeks

1) _____ are negotiable certificates issued by a bank to represent the underlying shares of stock, which are held in trust at a foreign custodian bank.

A) Negotiable CDs B) International mutual funds

C) Depository receipts D) Eurodeposits

2) Depository receipts traded outside the United States are called _____ depository receipts.

A) Euro **B) Global** C) American D) none of the above

3) Each ADR represents _____ of the shares of the underlying foreign stock.

A) a multiple B) 100 C) 1 D) ADRs have nothing to do with foreign stocks.

4) Which of the following is NOT an advantage of ADRs to U.S. shareholders?

A) Transfer of ownership is done in the U.S. in accordance with U.S. laws.

B) In the event of the death of the shareholder, the estate does not go through a foreign court.

C) Settlement for trading is generally faster in the United States.

D) All of the above are advantages of ADRs.

5) ADRs that are created at the request of a foreign firm wanting its shares traded in the United States are:

A) facilitated. B) unfacilitated. **C) sponsored.** D) unsponsored.

6) Who pays the costs of creating a sponsored ADR?

A) the foreign firm whose stocks underlie the ADR

B) the U.S. bank creating the ADR

C) both the U.S. bank and the foreign firm

D) the SEC since they require the regulation

7) Level I ADRs trade primarily:

A) on the New York Stock Exchange.

B) on the American Stock Exchange.

C) over the counter or pink sheets.

D) Level I ADRs typically do not trade at all, but instead are privately issued and held until maturity.

8) Level II ADRs must meet:

A) U.S. GAAP standards.

B) home country accounting standards.

C) both U.S. GAAP and home country standards.

D) none of the above

9) Level _____ is the easiest standard to satisfy for issuing ADRs.

A) 144a

B) III

C) II

D) I

10) Level III ADR commitment applies to:

A) firms that want to list existing shares on the NYSE.

B) banks issuing foreign mutual funds.

C) ADR issues of under \$25,000.

D) the sale of a new equity issued in the United States

3. Foreign equity listing and issuance: Cross-listing and selling its shares on a foreign exchange → Advantages and disadvantages of Cross-listing

Advantages:

- **Improve the liquidity** of its shares and support a liquid secondary market for new equity issues in foreign markets
- **Increase its share price** by overcoming mispricing in a segmented and illiquid home capital market
- **Increase the firm's visibility and acceptance** to its customers, suppliers, creditors, and host governments
- **Establish a liquid secondary market** for shares used to acquire other firms in the host market and to compensate local management and employees of foreign subsidiaries

Disadvantages: the commitment to disclosure (future commitment) and investor relations (costly maintain relationship).

3) Your authors note several empirical studies that have found:

A) no share price effect for foreign firms that cross-list on major U.S. exchanges.

B) a positive share price effect for foreign firms that cross-list on major U.S. exchanges.

C) a negative share price effect for foreign firms that cross-list on major U.S. exchanges.

D) none of the above

4) Empirical evidence shows that new issues of equity by domestic firms in the U.S. market typically has a _____ stock price reaction and new equity issues in the U.S. markets by foreign firms with segmented domestic markets have a _____ stock price reaction.

A) negative; negative

B) positive; negative

C) negative; positive

D) positive; positive

5) In addition to gaining liquidity, which of the following could also be considered a legitimate reason for cross-listing equity?

A) enhance a firm's local image

B) become more familiar with the local financial community

C) get better local press coverage

D) all of the above

6) Another school of thought about the worldwide trend toward fuller and more standardized disclosure rules is that the cost of U.S. level equity capital disclosure:

A) chases away potential listers of equity.

B) is an onerous costly burden.

C) leads to fewer foreign firms cross listing in U.S. equity markets.

D) all of the above

7) According to the U.S. school of thought, the worldwide trend toward fuller and more standardized disclosure rules should _____ the cost of equity capital.

A) increase

B) decrease

C) have no impact on

D) none of the above

8) For the most part, U.S. SEC disclosure requirements are _____ other, non-U.S. equity market rules.

A) more stringent than

B) less stringent than

C) equally stringent to

D) none of the above

Chapter 16: International Trade Finance

1. The trade relationship between the exporter and the importer

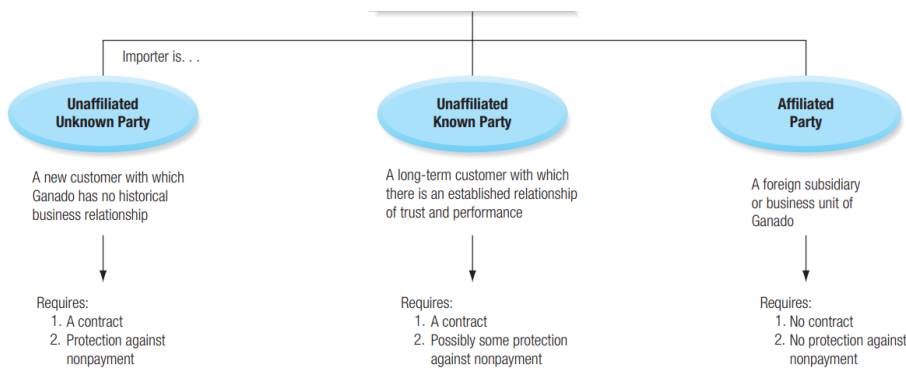
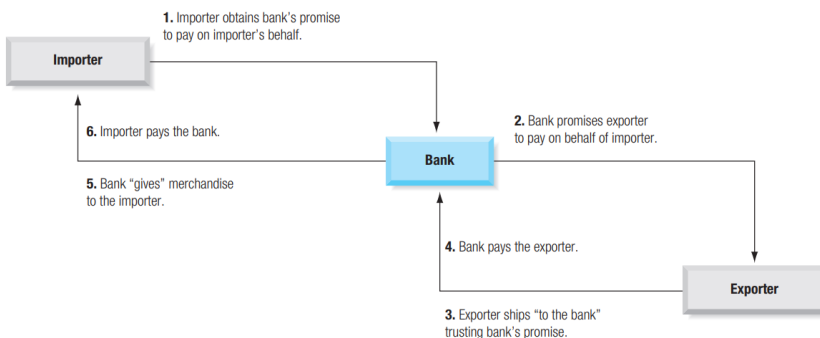


EXHIBIT 16.3 The Mechanics of Import and Export



EXHIBIT 16.4 The Bank as the Import/Export Intermediary



1) The exporter-importer relationship to a corporation of a foreign importer that has not previously conducted business with the firm would be an:

A) unaffiliated known.

B) affiliated party.

C) unaffiliated unknown.

D) any of the above

2) Which of the following relationships between importing and exporting parties would require the least detailed contract to conduct business?

~~A) affiliated party~~

B) unaffiliated unknown party

C) known unaffiliated party

D) domestic supplier

3) Polaris Corporation has made an agreement to ship goods to a foreign firm with whom they have not entered into a contract for three years. However, the firms have communicated regularly since the last sale three years ago. This is an example of an:

A) unaffiliated known party transaction.

B) unaffiliated unknown party transaction.

C) affiliated party transaction. ~~X~~

D) none of the above

4) Which of the following is NOT a financial instrument that may be included in an international trade transaction?

A) Letter of Credit ✓

B) Sight Draft ✓

C) Order bill of lading ✓

D) Federal funds transaction ~~X~~

2. Benefits of the system

- Protection against risk of Noncompletion
- Protection against Foreign exchange risk
- Financing the trade

3. International trade Risks

- Currency risk (currency denomination of payment)
- Non-completion risk (timely and complete payment)
- Risk of default of importer

1) The combination of a letter of credit, a sight draft, and an order bill of lading protect both parties in international transactions from which of the following?

A) the risk of noncompletion ✓

B) the risk of foreign exchange risk (when combined with a various hedging techniques) ✓

C) the risk that financing will not be available due to foreign exchange risk ✓

D) All of these risks are reduced when using these trade implements.

2) The risk of noncompletion is most important when:

~~A) the international trade is recurrent in nature.~~ ✓

B) there is a sustained relationship between the buyer and seller. ~~X~~

C) with an outstanding agreement for recurring shipments. ~~X~~

D) when the relationship is between countries whose currencies are considered strong. ~~X~~

3) From a financial management perspective, all of the following are primary risks associated with an international trade transaction EXCEPT:

A) currency risk ✓

B) default risk ✓

C) noncompletion risk ✓

D) interest rate risk ~~X~~

4) The risk of default on the part of the importer - risk of noncompletion - is present as soon as:

A) a price quote is given.

B) goods are received.

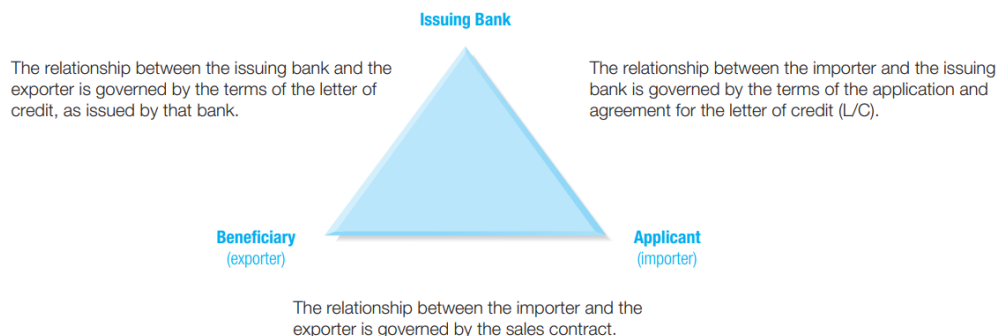
~~C) the export contract is signed.~~

D) the financing period begins.

4. Key Documents: Letter of Credit, Irrevocable versus revocable, confirmed versus unconfirmed L/C; Drafts; Trade vs banker's acceptance; time drafts and sight drafts, bill of exchange bill of lading

A. **Letter of Credit (L/C)** is a document issued by a bank at the request of an importer (the applicant/buyer) by which the bank promises to pay an exporter (the beneficiary of the letter) upon presentation of documents specified in the L/C.

EXHIBIT 16.6 Parties to a Letter of Credit (L/C)



Irrevocable versus Revocable:

- An **irrevocable** L/C obligates the issuing bank to honor drafts drawn in compliance with the credit and can be **neither canceled nor modified without the consent of all parties**, including in particular the beneficiary (exporter).
- A **revocable** L/C **can be canceled or amended at any time before payment**; it is intended to serve as a means of arranging payment but not as a guarantee of payment.

Confirmed versus Unconfirmed:

- A **confirmed** L/C is issued by one bank and can be **confirmed by another bank**, in which case the confirming bank can honor drafts drawn in compliance with the L/C.
- An **unconfirmed** L/C is the **obligation only of the issuing bank**.

B. Draft is simply an order written by an exporter (seller) instructing an importer (buyer) or its agent to pay a specified amount of money at a specified time.

- The person or business, mainly **exporter** initiating the draft is known as the **maker = drawer = originator**
- The party to whom the draft is addressed is the **drawee**.
- The drawee is either the buyer, in which case the draft is called a **trade draft**, or the buyer's bank, in which case the draft is called a **bank draft**.

Drafts can become negotiable instruments when:

1. It must be in writing and signed by the maker or drawer.
2. It must contain an unconditional promise or order to pay a definite sum of money.
3. It must be payable on demand or at a fixed or determinable future date.
4. It must be payable to order or to bearer.

Types of Drafts:

- A **sight** draft is payable on presentation to the drawee; the drawee must **pay at once or dishonor the draft**.
- A **time** draft also called a usance draft, **allows a delay in payment**.

Note: When a draft is accepted by a bank, it becomes a **bankers' acceptance** - the unconditional promise of that bank to make payment on the draft when it matures.

C. Bill of Lading (B/L) is issued to the exporter by a common carrier transporting the merchandise. It serves three purposes: as a receipt, a contract, and a document of title.

- As a **receipt**, the bill of lading indicates that the carrier has received the merchandise described on the face of the document.
- As a **contract**, the bill of lading indicates the obligation of the carrier to provide certain transportation in return for certain charges.
- As a **document of title**, the bill of lading is used to obtain payment or a written promise of payment before the merchandise is released to the importer.

1) Which of the following is NOT true regarding a letter of credit?

A) The importer and exporter agree on a transaction. ✓

B) The importer applies to its local bank for the issuance of a letter of credit. ✓

C) The exporter applies to its local bank for the issuance of a letter of credit. ✗

D) The importer's bank cuts a sales contract based on its assessment of the creditworthiness of the importer. ✓

2) A/An _____ letter of credit is intended to serve as a means of arranging payment, but not as a guarantee of payment.

A) irrevocable

B) revocable

C) confirmed

D) unconfirmed

3) A/An _____ letter of credit is an obligation only of the issuing bank whereas other banks honor a/an _____ letter of credit.

A) irrevocable; unconfirmed

B) revocable; confirmed

C) confirmed; irrevocable

D) unconfirmed; confirmed

4) A letter of credit that is confirmed in the _____ country has the additional advantage of eliminating the problem of _____

A) exporter's; portfolio risk

~~B) importer's; blocked foreign exchange~~

C) exporter's; blocked foreign exchange

D) none of the above

5) The draft is the instrument normally used in international commerce to:

A) transfer product. B) prove ownership.

C) transfer title.

~~D) initiate the sale.~~

6) The _____ is the instrument normally used to actually effect payment in international commerce.

~~A) banker's acceptance~~

B) bill of exchange

C) bill of lading

D) letter of credit

7) The person or company initiating the draft or bill of exchange is known as the:

A) maker. ✓

B) drawer. ✓

C) originator. ✓

D) any of the above

8) The person or company to whom the draft or bill of exchange is addressed is the:

A) drawee.

B) drawer.

C) maker.

D) originator.

9) Drafts that have been accepted by banks become:

A) clean drafts.

B) nonmarketable.

C) banker's acceptances.

D) none of the above

10) Which of the following purposes is NOT served by the bill of lading?

A) It acts as a receipt. ✓

B) It acts as a contract. ✓

C) It acts as a document of title. ✓

D) It acts as all of the above.

11) The _____ is issued to the exporter by a common carrier transporting the merchandise.

A) bill of lading

B) draft

C) banker's acceptance

D) line of credit

12) A straight bill of lading is most likely to be used under which of the following circumstances?

~~A) when the merchandise has not been paid for in advance~~ ✓

B) when the transaction is being financed by a bank ✗

C) when the shipment is to an affiliate ✗

D) none of the above

13) To become a negotiable instrument, a draft must conform to the following requirements EXCEPT:

A) it must be in writing and signed by the maker or drawer ✓

B) it must be payable to order or to bearer ✓

☒ C) it must be written in English ✗

D) it must be payable on demand or at a fixed or determinable future date ✓

5. Trade Financing Alternatives

A. Bankers' acceptances are the unconditional promise of that **bank** to make payment on the draft when it matures. *Lower cost*

B. Trade acceptances are similar to bankers' acceptances except that the accepting entity is a **commercial firm**. *Higher cost*

C. Factoring: factors purchase receivables at a discount on either a non-recourse or recourse basis. *Variable cost*

- **Non-recourse** means that the factor assumes the credit, political, and foreign exchange risk of the receivables it purchases.
- **Recourse** means that the factor can give back receivables that are not collectable.

D. Securitization: firms sell huge amount of export receivables to a legal entity established to create marketable securities. *Variable cost*

E. Bank Credit Lines: go to the bank and borrow directly using AR as collateral assets (up to 80%). *Very high cost*

F. Commercial paper is only the large well-known firms with favorable credit ratings. *Super low cost*

Use the information to answer the following question(s). Cypress Systems Inc., of Florida, agrees to sell specialized hydroponic growing equipment to Landcaster's of Australia. Because the two companies have never done business with each other, Cypress requires a banker's acceptance as payment for the \$1,000,000 order. The banker's acceptance carries a 1.4% commission per annum and payment is to be received in 6 months. If Cypress Inc. chooses to discount or sell the bankers acceptance to its bank, the discount rate is 1.00% per annum.

1) Refer to Instruction 16.1. What is the size of the discount (not including the commission fee) Cypress must take for receiving the proceeds of the sale today rather than waiting for six months?

A) \$7,000

☒ B) \$5,000

C) \$12,000

D) \$14,000

$$1\% \times \frac{6}{12} \times \$1,000,000$$

2) Refer to Instruction 16.1. What is the size of the commission Cypress will pay the bank for the banker's acceptance?

☒ A) \$7,000

B) \$5,000

C) \$12,000

D) \$14,000

$$1.4\% \times \frac{6}{12} \times \$1,000,000$$

3) Refer to Instruction 16.1. What is the total Cypress can expect to receive if the firm takes payment today?

A) \$993,000

B) \$995,000

☒ C) \$988,000

D) \$996,000

☒ 4) Refer to Instruction 16.1. _____ is an unsecured promissory note.

A) A banker's acceptance

☒ B) An overdraft

C) A securitized loan

☒ D) Commercial paper

5) Rogue Spices Inc. has a Canadian receivables contract for \$200,000 due in 270 days. The firm has been approached by a factoring firm that offers to purchase the receivables at a 12% per annum discount plus a 1% charge for a nonrecourse clause. What is the annualized percentage all-in-cost of this factoring alternative?

☒ A) 14.82%

B) 13.00%

C) 12.00%

D) 9.09%

6) Export receivables are normally sold at a discount. The size of the discount depends on the following factors EXCEPT:

☒ A) overdraft fees ✗

B) collection risk ✓

C) cost of credit insurance ✓

D) size of financing and services fees ✓

Chapter 17: Foreign direct investment

1. Sustaining and transferring competitive advantage

The competitive advantage must be **firm-specific**, **transferable**, and **powerful enough** to compensate the firm for the potential disadvantages of operating abroad (foreign exchange risks, political risks, and increased agency costs).

Some of the competitive advantages enjoyed by MNEs are:

- (1) economies of scale and scope arising from their large size: in production, marketing, finance, research and development, transportation, and purchasing.

- (2) managerial and marketing expertise;
- (3) advanced technology owing to their heavy emphasis on research, both scientific and engineering skills
- (4) financial strength by achieving and maintaining a global cost and availability of capital.
- (5) differentiated products;
- (6) competitiveness of their home markets including:
 - + Factor conditions (land, labor, capital and technology),
 - + Demand conditions (customers that are demanding, diligent, sophisticated, focused on specific issues of quality or safety)
 - + Related industry
 - + Firm Strategy, Structure and Rivalry

1) An example of economies of scale in financing include:

A) being able to access the Euroequity, Eurobond, and Eurocurrency markets.

B) being able to ship product in shiploads or carloads.

C) being able to use large-scale plant and equipment.

D) all of the above

2) Which of the following is NOT a factor of Porter's "diamond of national advantage"?

A) factor conditions

B) demand conditions

C) related and supporting industries

D) All of the above are factors of the diamond of national advantage.

3) Based on observations of firms that have successfully invested abroad, we can conclude that one of the competitive advantages enjoyed by MNEs is:

A) managerial expertise.

B) financial strength.

C) competitiveness of their home markets.

D) all of the above are competitive advantages.

4) Based on observations of firms that have successfully invested abroad, we can conclude companies are more competitive when:

A) facing sophisticated and demanding customers in the home market.

B) surrounded by a critical mass of related industries and suppliers.

C) located in countries that are naturally endowed with the appropriate factors of production.

D) all of the above are true

2. The OLI paradigm and internationalization

The OLI Paradigm (Buckley and Casson, 1976; Dunning, 1977) is an attempt to create an overall framework to explain why MNEs choose FDI rather than serve foreign markets through alternative modes such as licensing, joint ventures, strategic alliances, management contracts, and exporting.

- **Ownership advantages:** competitive advantages in its home market that can be transferred abroad.
- **Location advantages:** include a low-cost but productive labor force, unique sources of raw materials, a large domestic market, defensive investments to counter other competitors, or centers of technological excellence.
- **Internationalization advantages:** maintain its competitive position by attempting to control the entire value chain in its industry.

1) The OLI paradigm is an attempt to create a framework to explain why MNEs choose _____ rather than some other form of international venture.

- A) licensing B) joint ventures **C) foreign direct investment** D) strategic alliances

2) The O in OLI refers to an advantage in a firm's home market that is:

- A) operator independent. **B) owner-specific.** C) open-market. D) official designation.

3) The owner-specific advantages of OLI must be:

- A) firm-specific. B) not easily copied. C) transferable to foreign subsidiaries. **D) all of the above**

4) A/An _____ would be an example of an owner-specific advantage for an MNE.

- A) patent** B) economy of scale C) economy of scope D) all of the above

5) The L in OLI refers to an advantage in a firm's home market that is a:

- A) liability in the domestic market.

B) location-specific advantage.

- C) longevity in a particular market.

- D) none of the above

6) A/An _____ would be an example of a location-specific advantage for an MNE.

- A) patent B) economy of scale
C) unique source of raw materials D) possession of proprietary information

7) The I in OLI refers to an advantage in a firm's home market that is an:

- A) internalization.** B) industry-specific advantage.

- C) international abnormality. D) none of the above

8) A/An _____ would be an example of an internalization advantage for an MNE.

- A) patent B) economy of scale
C) unique source of raw materials **D) possession of proprietary information**

9) In deciding whether to invest abroad, management must first determine whether the firm has a sustainable competitive advantage that enables it to compete effectively in the home market. The competitive advantage must be:

- A) firm specific.

- B) not easily copied.

- C) in a transferable form.

D) all of the above

10) Which of the following is NOT a market imperfection or genuine comparative advantage that attracts FDI to particular locations:

- A) low cost and productive labor force.

- B) unique sources of raw materials.

- C) defensive investments.

D) an expansive monetary policy.

3. Deciding where to invest: the behavioral theory/approach of the firm by the so-called **Swedish School of Economists**

Firms tended to invest first in countries that **were not too far distant** in psychic terms. **Close psychic distance** defined countries with a **cultural, legal, and institutional environment** similar to Sweden's, such as Norway, Denmark, Finland, Germany, and the United Kingdom. The initial investments were modest in size to minimize the risk. As the Swedish firms learned from their initial investments, they became willing to take greater risks with respect to both the psychic distance of the countries and the size of the investments.

1) Which of the following is NOT true regarding behavioral observations of firms making a decision to invest internationally?

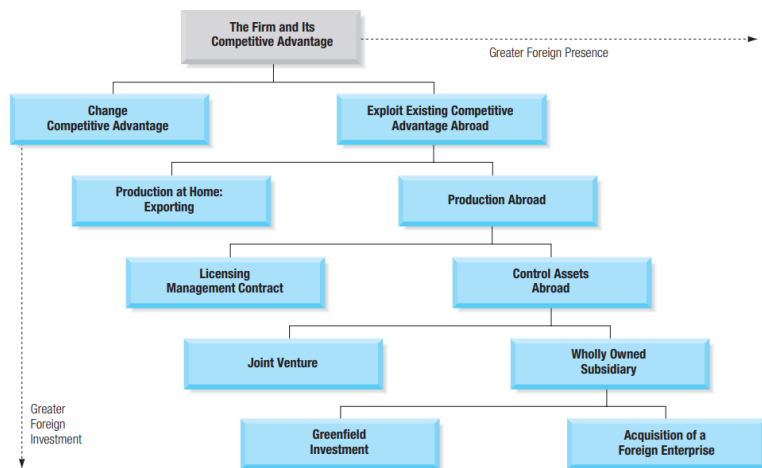
- A) MNEs initially invest in countries with a similar "national psychic."

B) Firms eventually take greater risks in terms of the national psychic of countries in which they invest.

C) Initial investments tend to be much larger than subsequent ones.

D) All of the above have been observed.

4. How to invest Abroad: Modes of Foreign Involvement -> Advantages vs disadvantages of each FDI entry modes



	Advantages	Disadvantages
Exporting	- Political risks are minimal - Agency cost are avoided - Front-end investment is lower	- Foreign exchange risks remain - Not able to internalize and exploit the results of its R&D as effectively as if it invested directly - Losing markets to imitators and global competitors
Licensing and Management Contracts	- No need to commit sizable funds - Political risk is minimized	- License fees are lower than FDI profits - Possible loss of quality control - Establishing possible competitors - Technological improvements by the licensee which then enter your home market - Possible loss of FDI opportunity at a later date - Risk that technology will be stolen - High agency costs
Joint Venture	- Better understanding of local environment - Providing for competent management - Satisfying local ownership requirements - Use of local partners' contacts , reputation and know how - Public image of local partners	- Political risk is increased - Risk of selecting wrong partner - Local and foreign partners may have divergent views - Potential for conflict of interest, transfer pricing issues - Control of financing: MNE cannot justify its use of cheap or available funds - Ability of a firm to rationalize production on a worldwide basis can be jeopardized - Financial disclosure of local results → gives non-disclosing competitors an advantage in setting strategy
Wholly Owned Subsidiary	- Financial disclosure is not needed - Greater control - Reduce risk of losing control over technological competence	- Started with a clean slate, having no prior history of development - 100% foreign ownership is not a realistic alternative to some countries - Political risk is increased - High cost of investments
Merger and Acquisition	- Quick to execute - To preempt their competitors - Less risky than green field	- Try to marry divergent corporate cultures - May overpay for acquired firm

1) Which of the following is NOT an advantage to exporting goods to reach international markets rather than entering into some form of FDI?

A) fewer political risks

B) greater agency costs

C) lower front-end investment

D) All of the above are advantages.

2) Which of the following is an advantage to exporting goods to reach international markets rather than entering into some form of FDI?

A) fewer agency costs

B) fewer direct advantages from research and development

C) a greater risk of losing markets to copycat goods producers

D) an inability to exploit R&D as effectively as if also invested abroad

3) Which of the following is NOT a form of FDI?

A) wholly-owned affiliate

B) joint venture

C) exporting

D) greenfield investment

4) With licensing the _____ is likely to be lower than with FDI because of lower profits; however, the _____ is likely to be higher due to a greater return per dollar invested.

A) IRR; NPV

B) NPV; IRR

C) cost of capital; NPV

D) IRR; cost of capital

5) Which of the following is NOT a potential disadvantage of licensing relative to FDI?

A) possible loss of quality control

B) establishment of a potential competitor in third-country markets

C) possible improvement of the technology by the local licensee, which then enters the original firm's home market

D) All of the above are potential disadvantages to licensing.

6) A _____ is a shared ownership in a foreign business.

A) licensing agreement

B) greenfield investment

C) joint venture

D) wholly-owned affiliate

7) Which of the following is NOT an advantage to a joint venture?

A) Possible loss of opportunity to enter the foreign market with FDI later.

B) The local partner understands the customs and mores of the foreign market.

C) The local partner can provide competent management at many levels.

D) May be a realistic alternative when 100% foreign ownership is not allowed.

8) Greenfield investments are typically _____ and _____ than cross-border acquisition.

A) slower; more uncertain

B) faster; of greater certainty

C) slower; of greater certainty

D) faster; more uncertain

9) All of the following may be justification for a strategic alliance EXCEPT:

A) takeover defense

B) a joint venture to pool resources for research and development

C) joint marketing and serving agreements

D) All of the above are legitimate reasons for strategic alliances

5. Definition of market imperfections

Market imperfections theory is a trade theory that arises from international markets where perfect competition doesn't exist. In other words, at least one of the assumptions for perfect competition is violated and out of this is comes what we call an imperfect market.

6. Determinants of Investment abroad, depend on: firm's competitive advantages, business form; commensurate risks; and political risks

Part B: Long Calculation Problem

Recommended Problems and Presentation in Tutorials

From chapter 5,6,7,9,10,13,14,16